



REVIEW ARTICLE

Pro-market institutions and global strategy: The pendulum of pro-market reforms and reversals

Alvaro Cuervo-Cazurra¹,
Ajai Gaur² and
Deeksha Singh³

¹D'Amore-McKim School of Business,
Northeastern University, 313 Hayden Hall, 360
Huntington Avenue, Boston, MA 02115, USA;
²Rutgers Business School - Newark and New
Brunswick, 1 Washington Park, Newark,
NJ 07102, USA; ³School of Business, Rutgers
University, 227 Penn Street, Camden,
NJ 08102-1656, USA

Correspondence:

A Gaur, Rutgers Business School - Newark
and New Brunswick, 1 Washington Park,
Newark, NJ 07102, USA.
Tel: 1- 7326465094;
e-mail: ajai@business.rutgers.edu

**Electronic supplementary mate-
rial** The online version of this article
([https://doi.org/10.1057/s41267-019-00221-
z](https://doi.org/10.1057/s41267-019-00221-z)) contains supplementary material, which is
available to authorized users.

All authors contributed equally, names are
listed alphabetically.

Received: 5 January 2018

Revised: 17 December 2018

Accepted: 4 January 2019

Online publication date: 25 February 2019

Abstract

We review the literature analyzing the impact of pro-market institutions on firms' global strategy. We propose that the ideological tension between whether the government or the market should drive economic development results in a pendulum of pro-market reforms and reversals that drive changes in firm strategy and performance. Much progress has been made in the analyses of pro-market reforms and their impact on firms' international strategies and performance. However, there is a need to further learn about four areas: (1) the concept of pro-market institutions, in particular the variety of institutional dimensions, the measures, and the influence of informal institutions on firm strategies; (2) the drivers of changes in pro-market institutions, especially firms' influences and the co-evolution of firm strategies and institutional changes; (3) the implications of changes in pro-market reforms for the interactions among integration, diversification, and internationalization strategies, the causality chains connecting institutions and strategies, and the reconfiguration of activities globally; and (4) the non-traditional moderators that alter the impact of pro-market institutional dynamics on firms' strategies, such as country-level political systems, industry-level competitor reactions, and individual-level managerial capabilities and perceptions.

Journal of International Business Studies (2019) 50, 598–632.

<https://doi.org/10.1057/s41267-019-00221-z>

Keywords: institutions; institutional change; pro-market reforms; pro-market reversals; international strategy; multinationals; emerging markets

INTRODUCTION

Pro-market institutions, i.e., the implementation of rules and regulations that facilitate market transactions and limit the role of the government in the economy, have spread around the world since the 1980s and have resulted in a profound transformation of the global economy. They are, together with technological advances, the twin engines of globalization, as both enable the spread of ideas, innovations, and capital around the world (Sachs, Warner, Aslund, & Fischer, 1995; see a historical overview in Yergin & Stanislaw, 1998), resulting in an unprecedented international expansion of firms (UNCTAD, 2017). Pro-market reforms, i.e., improvements in pro-market institutions, resulted in deep

transformations of the global economy. They enabled the integration of formerly communist countries with the rest of the world as these economies transitioned from a government-led economic system to a capitalistic one, enabling their firms to trade and invest abroad. Pro-market reforms also reduced government intervention in the economy in developing countries, which replaced the import-substitution model of economic development with an export-led one, leading their firms to become global competitors. The reforms also transformed advanced economies with the deregulation of industries and liberalization of capital markets that supported their firms' earlier international expansions.

Pro-market reforms, and their associated dimensions – industry deregulation; privatization of state-owned enterprises; liberalization of prices; and the opening of economies to trade, capital, and labor flows – have reconfigured the context in which firms operate. These changes provide a laboratory for challenging and extending our conceptualizations and models of the multinational, because the impact of the reforms on firms has resulted in a lively debate. Some studies argue that pro-market reforms have a positive effect on profitability (Banalieva, 2014; Cuervo-Cazurra & Dau, 2009a) and internationalization (Cuervo-Cazurra & Dau, 2009b). Others argue that they have a negative impact on profitability (Chari & David, 2012; Banalieva, Eddleston, & Zellweger, 2015) and firm survival (Hermelo & Vassolo, 2010; Kumaraswamy, Mudambi, Saranga, & Tripathy, 2012). The reforms have received their share of criticisms as not everyone has benefited from them (Rodrik, 2006; Stiglitz, 2003). In some cases, governments have even reversed course and implemented pro-market reversals, i.e., declines in pro-market institutions, and reinstated governmental control over the economy; this has challenged the assumptions of most analyses, which tend to take for granted a steady implementation of reforms (Banalieva, Cuervo-Cazurra, & Sarathi, 2018). To continue advancing research on the topic, we need to pause to identify current accomplishments and avenues for future inquiry.

Hence, we take stock of our understanding of the impact of pro-market institutions on the global strategy of firms around the world. We study two dimensions of firms' strategy: the global strategy of domestic firms that internationalize after pro-market reforms in the home country, and the global strategy of foreign multinationals that enter

countries undergoing pro-market reforms. Building on institutional economics (North, 1990), we argue and explain how the influence of pro-market reforms and reversals on firm strategy challenges some of the assumptions of models of the multinational, which have tended to take the institutional environment as given. We propose that the ideological tension between whether the government or the market should drive economic development results in a pendulum of periods of pro-market reforms and periods of pro-market reversals. This pendulum requires a reconceptualization of the influence of the home country on international strategy (Cuervo-Cazurra & Genc, 2008; Gaur, Ma, & Ding, 2018; Holburn & Zelner, 2010; Martin, 2014; Wang & Luo, 2012; see a review in Cuervo-Cazurra, Luo, Ramamurti, & Ang, 2018). The analysis of past studies reveals much progress in our understanding of the impact of pro-market reforms on firms' strategies and performance, and how this relationship is moderated by firm ownership, capabilities, and strategy. However, we still need to know more about institutional dynamics and the co-evolutionary relationship between pro-market institutions and strategy, the interactions between strategies, and the mechanisms that connect pro-market institutional dynamics and firms' strategies.

The rest of this article is organized as follows. In the next section, we provide an overview of previous studies of pro-market institutions and firm strategy, clarifying areas in which these studies have shed light on the topic. We then discuss how connections to other fields can further illuminate the relationship between pro-market institutions and global strategy. After this, we present recommendations for future studies on areas that are currently obscure but that have the potential to make significant inroads in our understanding of the impact of pro-market institutions on global strategy. We conclude with a reflection on the contributions of this topic.

LITERATURE REVIEW: LOOKING UNDER THE LIGHT

Institutions and Strategy

The impact of pro-market institutions and their dynamics, pro-market reforms and reversals, on the global strategy of firms is part of a broader discussion on the effect of changes in a country's institutional environment on firms' strategy.

Scholars have recognized that the institutional environment affects a firm's strategy and that organizations and their environment change over time (Khanna & Palepu, 2010; Oliver, 1997; Peng, 2003; Peng & Heath, 1996; Martin, 2014; North, 1990). However, much of the extant literature tends to take the conditions of the institutional environment as given, rather than explicitly incorporating the dynamic aspects of changes in strategy and the environment in theoretical and empirical modeling (Rajagopalan & Spreitzer, 1997; Zajac, Kraatz, & Bresser, 2000). The studies that do look at the issue of strategic adaptation focus on industry-specific changes in certain aspects of the environment, such as regulatory changes (Goodstein & Boeker, 1991; Smith & Grimm, 1987; Zajac & Shortell, 1989). In related work, scholars have examined the effect of changes in dimensions of the institutional environment on firm-level outcomes (Banalieva et al., 2015; Banalieva, Cuervo-Cazurra, & Sarathy, 2018; Cuervo-Cazurra & Dau, 2009a, b; Kouame & Tapsoba, 2019), and how different institutional dimensions interact with each other to affect firm behavior (Mukherjee, Makarius, & Stevens, 2018; Shi, Sun, Yan, & Zhu, 2017). However, much of the literature fails to incorporate the dynamic interactions between the nation-level institutional changes, industry-level changes, and firm-specific changes, regarding both firm strategy and firm performance. Due to the lack of such understanding, we often fail to see that firm-specific and industry-specific changes studied in a cross-section are usually subordinate to the multi-faceted and broad changes that can occur in national institutional environments.

Before we continue, we need to establish a few clarifications of the underlying concepts we analyze, because studies have acknowledged the importance of the national institutional environment on firm behavior (North, 1990), focusing on a number of drivers and explanations, such as regulation (Djankov et al., 2002), institutional voids (Khanna & Palepu, 2000), or legal systems (La Porta et al., 1998). First, we study levels of pro-market institutions of countries, and how pro-market reforms reinforce, while pro-market reversals weaken, these pro-market institutions. We do not use the term 'institutional voids' (Khanna & Palepu, 2010), which, although important, may create confusion about the direction of change. Countries rarely lack institutions, i.e., have voids. Nations in which the government has tight control of the economy (i.e., Cuba, North Korea) have

powerful institutions regulating economic transactions, just not pro-market ones.

Second, we do not assume that there is a unidirectional relationship between pro-market institutions and performance. Managers, in general, prefer high levels of pro-market institutions because these reduce uncertainty and costs in market relationships. However, some managers may prefer situations of low levels of pro-market institutions, because they can gain a privileged market position or access to resources by influencing government officials (Chari & Gupta, 2008; Fisman, 2001; Ghemawat & Khanna, 1998). The usual view that higher levels of pro-market institutions are better for all economic actors needs a more nuanced discussion.

Third, we focus on formal pro-market institutions because these have been the subject of most of the attention in the literature. Pro-market institutions tend to be associated with the formal institutions that the government establishes in the form of laws and regulations. Nevertheless, market relationships are also influenced by informal institutions, with a complex reciprocal relationship between formal and informal institutions (North, 1990). Informal institutions take several forms, such as: cultural norms, commonly accepted practices, and professional norms of behavior (Williamson, 2000); social pressures that ensure compliance with relationships, such as the social control exercised in micro-lending groups (Yunus, 2007), in clusters of small firms in Italy (Porter, 2011), and in traders in global currency markets (Kasper, 2002); and accepted social norms, such as the use of *guanxi* in China to facilitate economic transactions (Luo, Huang & Wang, 2012; Park, Li, & Tse, 2006).

Fourth, we adopt institutional economics, especially new institutional economics (North, 1990), as the prime theoretic guide in the analysis of the impact of pro-market institutions on firm strategy and performance. This approach considers institutions as constraints on the behavior of economic actors (North, 1990), and firms seek to achieve a competitive advantage by being different in how they serve customers. Another theoretical basis for analyzing institutions is neo-institutional theory, introduced by DiMaggio and Powell (1991) and refined by Scott (2001) and Lawrence and Suddaby (2006). We do not build on this approach because it has a very different view of institutions and their impact on firms. In neo-institutional theory, regulatory, normative, and cognitive institutions exert

pressures on firms towards isomorphism, i.e., imitation of each other, to achieve legitimacy and social acceptance.

Historical Overview: The Pendulum of Reforms and Reversals

The level of pro-market institutions in a country is the outcome of broader ideological attitudes toward the role of the government as a driver of development and arbiter of economic transactions. Changes in the formal dimensions of pro-market institutions, such as pro-market reforms and reversals, can be implemented relatively quickly due to explicit sanction from the external enforcement agencies such as governments (Kasper, 2002), while informal dimensions of institutions such as cultural norms take a longer time to change (Williamson, 2000).

The changes in attitudes towards pro-market reforms have resulted in a historical pendulum between pro-market reforms and reversals. In some periods of time, the government retracts from controlling economic transactions and being the main engine of economic development. At other times, the government intervenes in the economy by regulating economic transactions and being the principal driver of development.

Drivers of the pendulum

The pendulum between the models of pro-market reforms and reversals operates at two levels and is driven by political actions, which we summarize in Table 1. At the global level, multiple countries experience a move from one model to another in a synchronized manner, while at the local level a particular country changes its model of development. The drivers of the movement at the global level are the spread of ideology regarding the appropriate model of development from one country to another via, in order of enforceability: demonstration, incentives, and imposition. In

demonstration, the adoption of a model and its success in helping a nation grow becomes an example that other governments decide to imitate. In incentives, countries adopt a model in response to financial support from supranational entities or governments of other economies. In imposition, nations move from one model to another because a foreign country forces them to adopt the model.

The drivers of the pendulum at the local level are, in addition to the external influences of the global movement, and also in order of enforceability: refinement, replacement, and crisis. In refinement, the current or new government implements policies that it believes will be viewed favorably by citizens or interest groups and generate their support. In replacement, the transition from one government to another, either via a democratic process, or a revolution or *coup d'état*, leads the new government to implement policies that are more aligned with its ideology. In crisis, the government adopts a different model of development to tackle a crisis as the previous model has shown its limitations. Below, we briefly describe the evolution in the global and individual country pendulums.

Evolution in the global pendulum

The global pendulum between markets and government as the drivers of economic growth has evolved in long waves, which unfortunately seems to have been lost in many studies that tend to take the current economic policies as a steady state without realizing that these are part of a longer evolution. Hence, we now summarize the main trends in the global pendulum to help researchers understand these long-term evolutions (a more detailed explanation appears in Yergin & Stanislaw, 1998).

From the late nineteenth century to the early twentieth century, governments took a secondary role in the economy, mostly providing a few public goods in the form of infrastructure and incipient

Table 1 Drivers of the pendulum between pro-market reforms and reversals

Level	Drivers	Mechanisms
Global (Multiple countries adopt a particular model)	Demonstration	Countries imitate other countries that appear to have a successful model
	Incentives	Countries adopt models encouraged by other governments or supranational entities
	Imposition	Countries, with limited ability to refuse, adopt a model pressured by another government
Local (A country implements a model)	Refinement	Government modifies current model to ensure support of citizens
	Replacement	Government alters current model to align it with their preferred policies
	Crisis	Government replaces current model as it ceases to operate effectively

education and healthcare, as well as regulatory incentives for private investors to facilitate industrialization. There were some remnants of mercantilist policies in which colonial powers exploited their colonies, using them as sources of raw materials and as markets for manufactured products. Preferred domestic firms were protected from imports via tariffs, but these were receding. As a result, international trade boomed while foreign direct investment started to make inroads, primarily from advanced economies that had relatively sophisticated capital markets.

The First World War of 1914–1918 led governments to temporarily redirect their economies towards the war effort. This intervention was reduced after the end of the conflict as countries returned to peace and allowed the markets to direct economic transactions. The subsequent recovery and new technological advances, such as automobiles and radio, led to an economic boom in the 1920s. Multinationals from advanced economies continued their expansion in search of natural resources in emerging economies and of markets in other advanced countries.

A significant exception to the market-led recovery was the Russian Empire, which in 1917 underwent the Communist Revolution that led to full government control of the economy. Influenced by the writings of Karl Marx and his proposal that the means of production should be under the control of the community, the government took full control of production and economic development in what after 1922 became the Soviet Union. Private ownership was abolished, all firms became state-owned, the government coordinated production and mandated quantities and quality, and the state determined sale prices for goods and services. The Soviet Union became an alternative economic model to capitalism, and communist and socialist parties emerged in other nations with the desire to imitate it, but it remained the only country following communism until the 1940s.

Other nations imposed controls over markets to deal with the Great Depression. The financial crisis of 1929, which resulted in the collapse of stock markets, induced governments to impose barriers to trade during the 1930s in a misguided effort to reignite domestic growth; this converted a financial crisis into an economic one, leading to the Great Depression. The associated economic slowdown in many nations led to the questioning of the capitalistic system and the ability of markets to self-monitor and correct their deficiencies. In response

to the crisis, and influenced by the writings of John Maynard Keynes, governments implemented regulations to control economic transactions and invested in the creation of state-owned firms to reignite growth. The Second World War of 1939–1945 reinforced governments' control of the national economies as the major industrial powers redirected industry toward supporting the war effort.

The 1940s to the 1970s appeared to be the height of government interventions in the economy. The level of intervention varied from complete control in the case of communist countries, to very high control in the case of most developing countries that followed import substitution, to high control in the case of advanced countries that regulated industries, market transactions, and prices. Some developing countries followed the communist model of development inspired by the success, and in many cases the support, of the Soviet Union and underwent internal revolutions, like in China. Other countries were forced to follow a communist model by direct imposition after their conquest by the Soviet Union, like in Eastern Europe. This set of nations, which became known as the Second World, cut ties with the rest of the world and mostly traded among themselves.

A large group of developing countries, some of which became independent in the decolonization process of the late 1940s to 1960s, implemented a model of import substitution, partly in response to nationalistic sentiments against the Western-dominated capitalistic model, and partly inspired by the government-led industrialization of the Soviet Union, but without undergoing a communist revolution. The import substitution model was also promoted by recommendations from the United Nations (Prebisch, 1950). This model focused on substituting imports with domestic production and having the government regulate industries, create new state-owned companies, and nationalize private companies, including subsidiaries of foreign multinationals, to facilitate industrialization (Bruton, 1998). This group of countries, which became known as the Third World, turned their companies inward-looking, growing them protected from foreign competition at home. As these companies did not become internationally competitive, they diversified extensively, thanks to government contacts, and became business groups.

In advanced countries, the devastation brought by the Second World War led to the continuation of government intervention in the economy to

facilitate reconstruction and development. Some countries, like Germany, liberalized after reconstruction while others, like the UK, continued with a policy of tight government control over the economy, which included regulation of industries and nationalization of companies.

The 1970s and 1980s were the beginning of the liberalization of economies and movement toward markets, driven in part by the crises of the 1970s that showed the limitations of the government-led model of development. The oil crisis of 1973 and the stagflation – high inflation and high unemployment – which were inconceivable in traditional macroeconomic models, induced some governments to seek alternative development models to the government-led ones. Influenced by the writings of the Chicago School of Economics (Friedman, 1962) and the earlier Austrian School of Economics (von Hayek, 1944), governments implemented pro-market reforms that involved the liberalization of prices, deregulation of industries, and privatization of state-owned firms. In developing countries, Chile started implementing pro-market reforms in the mid-1970s after a *coup d'état* against a democratically-elected communist government. Other Latin American countries implemented pro-market reforms in the 1980s as a way of dealing with the deep economic crisis that spread in the region after 1982 and resulted in hyperinflation and sharp economic contraction. In China, the government launched an economic liberalization in 1978 after the profound economic failures of the 1960s and the death of Chairman Mao. Eastern European countries transitioned towards capitalism in the 1980s as political liberalization in the Soviet Union enabled them to seek independence and try a new model of development. The dissolution of the Soviet Union in 1991 led the component republics to transition from communism to capitalism. In advanced economies, the UK under Prime Minister Thatcher and the US under President Reagan implemented pro-market reforms in the early 1980s, with other advanced countries following suit in the late 1980s, as a way of tackling the crisis of the oil shocks of the 1970s. All of this resulted in a significant increase in global trade thanks to the reduction of tariff and non-tariff barriers, and the start of foreign direct investment from countries that until recently had been closed to international investment.

The 1990s and 2000s experienced the peak of market-led development as countries embraced and deepened the reforms, aided by multilateral

organizations. The global spread of pro-market reforms in the 1990s was promoted by international organizations like the World Bank and the International Monetary Fund. These organizations provided financial assistance and economic guidance to countries in crisis to help them achieve macroeconomic stability and growth in exchange for implementing what became known as the Washington Consensus (Williamson, 1990). This consensus required that governments apply a series of ten reforms (Williamson, 1990): fiscal policy discipline to avoid large deficits; redirection of public spending from subsidies toward public services; tax reform to broaden the base and reduce marginal tax rates; interest rates determined by the market; foreign exchange rates determined by the market; trade liberalization; foreign direct investment liberalization; privatization of state-owned companies; deregulation of industries and labor markets; and effective protection of property rights. By the early 2000s, most countries had implemented deep pro-market reforms, with a few exceptions, like North Korea and Cuba, whose dictators refused to liberalize their economies for ideological reasons and for fear of losing control. The implementation of pro-market reforms, which lowered the barriers to trade and investment, and continued advances in communication and transportation technologies, facilitated a vast expansion of trade and foreign direct investment. This period also witnessed the beginning of the growth of multinationals from emerging economies, as these firms had reached levels of international competitiveness and started to challenge the traditional dominance of US, European, and Japanese multinationals among the leading global competitors.

In the 2000s, however, questions emerged about the ability of pro-market reforms to deliver the expected growth (Fraga, 2004; Katz, 2004). Some countries reversed course, as newly-elected populist governments adopted pro-market reversals, like Argentina, Bolivia, and Venezuela. The accomplishment of the Chinese government in facilitating rapid development from the 1980s to 2000s lent support to another government-led model of development: the so-called Beijing Consensus (Ramo, 2004). This model was presented as an alternative for emerging economies, and it appeared to consist of five recommendations (Williamson, 2012): incremental reforms instead of the rapid reforms as proposed in the Washington Consensus; innovation and experimentation; export-led development; state capitalism rather than socialist

planning or free market capitalism; and authoritarian government rather than liberal democracy or autocracy. The Chinese government established directives and provided finance on favorable terms to help Chinese firms become multinationals and expand globally via acquisitions, with many focusing on the purchase of advanced technology or natural resources. Other emerging country governments, like Brazil, imitated the initiative of the Chinese government's support for foreign direct investment by providing subsidized finance, helping their companies acquire firms abroad.

The Great Recession of 2008 questioned the zeal of governments for pro-market institutions. Advanced countries, which had been pushing emerging economies to implement pro-market reforms as a solution to economic crises, did not follow their own advice when they faced the downturn. Instead, they imposed regulations on industries and nationalized banks, and, in some cases, industrial companies, in an attempt to soften the impact of the Great Recession. The recession reduced the funds available for firms' international expansions in many advanced countries. However, some emerging countries, like China, came out of the Great Recession relatively unscathed, and their firms seized the opportunity to purchase technologically-sophisticated but financially-troubled competitors in advanced economies on the cheap.

By the late 2010s, the debate continued with regard to which is the most appropriate driver of development: government or market, pro-market reform or reversal, Washington or Beijing Consensus. The balance seemed to be moving towards the middle, with market-led development under government regulation to limit perceived excesses that a completely free market system could create and that would require government bailouts in crises.

Evolution in individual country pendulums

At the level of individual countries, there has been a quicker movement between pro-market reforms and reversals, driven by the particular economic and political conditions of the country. Thus, for example, Argentina moved from import substitution in the 1940s to 1980s to deep pro-market reforms in the late 1980s and 1990s to address the crisis of the 1980s, then back to pro-market reversals in the 2000s to deal with the economic and political crisis of 2001 under a new populist government, and back to pro-market reforms in the late 2010s under a new president to deal with an impending economic crisis. A discussion of the

evolution of reforms in each country is beyond the scope of our review, but we later explain the factors that drive reforms and reversals at the country level.

Previous Studies: Mapping Relationships

To gain a better understanding of the state of the art on the topic, we conducted a comprehensive analysis of prior publications in the tradition of content analysis (Duriau, Reger, & Pfarrer, 2007; Gaur & Kumar, 2018; Luo & Zhang, 2016). We relied on the Web of Science to search articles published between 1980 and 2017 with the keywords 'reform', 'privatization,' and 'liberalization.' Even though most of the relevant studies appear post-1995, we chose 1980 as the starting year to capture studies that discussed early reform initiatives in countries such as Chile and China. We analyzed articles in the top eight international business (IB) journals: *Asia Pacific Journal of Management* (APJM), *Global Strategy Journal* (GSJ), *International Business Review* (IBR), *Journal of International Business Studies* (JIBS), *Journal of International Management* (JIM), *Journal of World Business* (JWB), *Management and Organizational Review* (MOR), and *Management International Review* (MIR). These international business journals have a ranking of 3 or above in the 2015 Association of Business Schools rankings and have been identified in prior studies as elite international business journals (Gaur & Kumar, 2018; Tuselmann, Sinkovics & Pishchulov, 2016). We also analyzed articles in 12 other top management, finance, and economics journals based on the *Financial Times* list of top 50 journals. These are: *Academy of Management Journal* (AMJ), *Academy of Management Review* (AMR), *Administrative Science Quarterly* (ASQ), *American Economic Review* (AER), *Journal of Finance* (JF), *Journal of Financial Economics* (JFE), *Journal of Political Economy* (JPE), *Management Science* (MS), *Organization Science* (OS), *Quarterly Journal of Economics* (QJE), and *Strategic Management Journal* (SMJ).

Our search in these 20 journals over the 37-year period from 1980 to November 2018 revealed 843 articles. Abstracts and detailed citation information for these articles are available as an online appendix (Appendix A) on the journal website. We used the content analysis method to systematically review the abstracts of all these articles (Duriau et al., 2007; Gaur & Kumar, 2018). A research assistant with knowledge of the field read all the abstracts and identified 100 articles that discuss the relationship between pro-market reforms and firm strategy and

performance. One of the co-authors read a random selection of 10% of the abstracts to ensure inter-coder reliability in sample identification, achieving a 100% match in sample selection between the two coders. The research assistant and co-author then analyzed, classified, and coded the studies, discussing differences to reach consensus.

We prepared a table with complete details for these 100 articles on eight coding categories: name of the study, theoretical perspective(s) used, type of study (theoretical, qualitative, or quantitative), methodology, sample, time-period of the study, dependent variables, explanatory variables, and main findings. This table is available as an online appendix (Appendix B) on the journal website. Table 2 presents a selection of these articles that we consider to be important papers on different themes; however, the description of articles below is based on all 100 articles.

Description of Articles Analyzing the Impact of Pro-market Institutions on Firm Strategy and Performance

Journal and year distribution

There is an uneven distribution of the articles by outlet. The number of articles in international business journals is the following, in descending order: JWB (18), JIBS (15), IBR (7), APJM (5), GSJ (5), JIM (4), and MIR (4). Among the non-IB journals, the distribution of articles is the following: SMJ (10), OS (8), AER (7), QJE (5), AMR (3), JF (2), JEF (2), AMJ (1), ASQ (1), JBV (1), JPE (1), and MS (1). Clearly, IB journals have taken the lead in advancing our understanding of the effect of pro-market reforms on firm strategies and performance. This is unsurprising given that pro-market reforms have influenced developing and emerging economies the most, and that these countries have traditionally received a greater level of attention from IB scholars (Luo & Zhang, 2016).

The temporal distribution of articles is the following: 1980–1999 (12), 2000 (6), 2001 (1), 2002 (3), 2003 (0), 2004 (4), 2005 (2), 2006 (5), 2007 (4), 2008 (7), 2009 (3), 2010 (5), 2011 (4), 2012 (8), 2013 (6), 2014 (8), 2015 (6), 2016 (4), 2017 (9), and 2018 (3). Only a handful of articles were published before 2000, with 66% articles appearing since 2008. This time trend suggests that academic scholarship in the business domain has been somewhat slow in studying the impact of pro-market institutions on firm-level outcomes. Even though in many countries the pro-market reforms

started in the 1970s and 1980s, the academic world took notice only after substantial changes were implemented by governments in Latin America, Central and Eastern Europe, China, and India. Many of these changes were visible only in the 2000s. For example, the Shanghai and Shenzhen stock exchanges became operational in 1990 and 1991, respectively. It took a few years before reliable data on publicly listed companies could be obtained, which may have delayed the academic work.

Methodological and contextual focus

There are 13 theoretical articles and 87 empirical ones. Of the theoretical articles, seven appeared in AMR and JWB; six articles were published in the year 2000. Of the 87 empirical papers, 14 used qualitative methods, and 73 used quantitative methods; within these, 59 used secondary data sources, and 14 used survey data.

The distribution of papers by country and region is the following: China (22), India (14), Latin America (19), US and Canada (10), others (7), and multiple countries (other than Latin America) (12). There has been a considerable focus on China and India in empirical papers, as these two countries account for a little less than half of the studies that we reviewed. Latin American countries, either individually or as a block, also received significant attention.

Disciplinary and theoretical focus

Pro-market institutions affect economies, firms, and individuals, resulting in cross-disciplinary and multi-theoretic work. By discipline, 51 studies belong to international business, 18 to strategy, 15 to economics, 7 to finance, 5 to entrepreneurship, and 4 to innovation. The percentage of articles published in the international business and strategy domains (69%) matches closely with the distribution of articles in international business and strategy journals (76%).

The phenomena-based and multi-theoretic nature of work on this topic is also reflected in the theoretical perspectives that scholars have used to study the effect of pro-market institutions on firm-level outcomes. The institutional perspective (economics-based and sociology-based) has been the single most frequently used theoretical lens, being applied in 20 studies. This is followed by agency theory, which has been utilized as the primary theoretical framework in five studies, and in combination with other theories in six other articles.

Table 2 Selected studies on pro-market institutions and firm strategy (a complete list appears in the online appendix)

Study	Journal ^a	Sample	Period	Type	Dependent variable	Independent variable	Main findings
Peng & Heath (1996)	AMR	Not applicable		Theory	Not applicable	Not applicable	Firms from the planned economies in transition pursue a network-based growth strategy that relies on personal trust and informal agreements amongst managers
Li (1997)	JPE	272 Chinese state-owned enterprise	1980–1989	Quantitative	The marginal productivity of capital and labor and total factor productivity	Product market competition, incentives, and factor allocation following reforms	Improvements in the marginal productivity of factors and total factor productivity between 1980 and 1989. Over 87% of the total factor productivity growth was attributable to improved incentives, intensified product market competition, and improved factor allocation following economic reforms in China
Buck et al. (2000)	JWB	Two firms from Russia and China: GAZ and BUAMM		Qualitative	Foreign direct investment (JV insider control)	Means of reform/ privatization	Economic reform in Russia and China are different; Russia implemented more rapid industrial privatization and price liberalization, while China implemented gradualist reform. This affects foreign direct investment
Doh (2000)	AMR	Not applicable		Theory	Not applicable	Not applicable	Privatization encourages early entry; delayed market liberalization reinforces first mover benefits; firms with specialized resources, entrepreneurial orientation and local partner collaboration hold the advantage in the post-privatization period
Ramamurti (2000)	AMR	Not applicable		Theory	Not applicable	Not applicable	Firm-level arguments need to be complemented by industry-level (competitive pressures) and country-level arguments (ideological commitment, macroeconomic crisis) to explain why some enterprises are privatized but not others
Spicer et al. (2000)	AMR	Not applicable		Theory	Not applicable	Not applicable	Entrepreneurship is better fostered through gradualist policies permitting negotiated solutions to restructuring, as opposed to market-driven reforms
Doh et al. (2004)	JIBS	500 telecom projects in 100 countries		Quantitative	Percentage of private ownership in the project	Trade liberalization, sector openness and regulatory status	Private ownership in telecommunication projects is positively associated with investment liberalization
Park et al. (2006)	JIBS	23,577 Chinese firms	1992–1996	Quantitative	Firm performance	National Bureau of Statistics survey	Market liberalization has a positive impact on firm performance

Table 2 (Continued)

Study	Journal ^a	Sample	Period	Type	Dependent variable	Independent variable	Main findings
Bertrand et al. (2007)	JF	15,000 firm-level panel (350,000 observations)	1978–1999	Quantitative	Capital structure, firm performance, restructuring activities (outsourcing)	Deregulation in the banking industry	Following bank deregulation, firms are less dependent on debt, and bank-dependent sectors are more likely to undertake restructuring activities
del Sol and Kogan (2007)	JIBS	596 Chilean firm and 4788 other observations	1994–2002	Quantitative	Firm performance	Country of origin	Chilean firms perform better than their counterparts from other Latin American countries suggesting that liberalization know-how relates positively to higher profits
Cuervo-Cazurra (2008)	JIM	20 Latin American firms		Qualitative	Multinationality (foreign direct investment decision)	Not applicable	Structural reforms encourage Multilatinas to upgrade their competitiveness and induce them to become multinationals
Chari & Gupta (2008)	JFE	2100 Indian firms	1991	Quantitative	Liberalization of industry (dummy variable = 1)	The share of state-owned firms	Firms in concentrated industries and state-owned firms are more successful at preventing foreign entry, and profitable state-owned firms are more successful at stopping foreign entry than unprofitable state-owned firms
Dastidar et al. (2008)	JFE	493 Indian firms; data from CMIE	2004	Quantitative	Abnormal return; Event study	Privatization of state-owned firms	Stock prices of government-controlled companies that had been slated for privatization by the BJP dropped 3.5% relative to private firms. Government-controlled companies that were under study for possible privatization fell 7.5% relative to private firms
Cuervo-Cazurra & Dau (2009a)	AMJ	500 largest Latin American firms	1989–2005	Quantitative	Firm performance	Pro-market reforms (multi-item index)	Reductions in agency costs due to pro-market reforms increase firm profitability, especially for state-owned firms
Cuervo-Cazurra & Dau (2009b)	MIR	500 largest Latin American firms	1990–2005	Quantitative	Firm export intensity	Cuervo-Cazurra & Dau (2009a) index	Structural reforms induce competitiveness improvements and subsequently firm exports, especially for foreign-owned firms
Hermelo and Vassolo (2010)	SMJ	13,144 observations across seven Latin American countries		Quantitative	Superior economic performance	Custom-made index from multiple sources	Development of institutional context accelerates firms' rate of exit from superior economic performance
Goldberg et al. (2010)	QJE	2927 manufacturing firms in India	1989–1997	Quantitative	New product introduction, total factor productivity, R&D activity	Trade liberalization (reduction in import tariff for various products)	Trade liberalization accounts for 31% of the new products introduced by domestic firms; trade liberalization also improved the performance of firms in other dimensions such as output, total factor productivity, and R&D activities

Table 2 (Continued)

Study	Journal ^a	Sample	Period	Type	Dependent variable	Independent variable	Main findings
Bustos (2011)	AER	1639 industrial firms in Argentina	1992–1996	Quantitative	Spending on different technology related items	Export status of the firm	The joint treatment of the technology and exporting choices shows that the increase in revenues produced by trade integration can induce exporters to upgrade technology
Kumaraswamy et al. (2012)	JIBS	1271 firm–year observations of Indian firms	1992–2002	Quantitative	Firm performance	Technology upgrading and strength of customer relationship	Facing market liberalization, domestic suppliers must catch up through technology licensing initially and then a joint venture
Chari and David (2012)	SMJ	24,392 firm–year observations of Indian firms	1991–2007	Quantitative	Sustainability of superior performance	Custom-made index from multiple sources	Sustainability of superior profits decline with pro-market reforms
Kretschmer et al. (2012)	AER	639 automobile dealers in France	2000–2004	Quantitative	Software adoption in automobile retailing	Liberalization of automobile retailing	Liberalization that eliminates vertical restraints increases the likelihood to adopt new technology
Khandelwal et al. (2013)	AER	900 firms from China	2002–2005	Quantitative	Total factor productivity	Quota-bound vs. quota-free in 2005	If trade barriers are managed by inefficient institutions, trade liberalization can lead to greater-than-expected total factor productivity
Stoian (2013)	IBR	Outward foreign direct investment data from 20 Central and Eastern European countries over 15 years	1996–2000	Quantitative	Country-level outward foreign direct investment	Trade liberalization, economic development; and institutional reform	The inclusion of institutional variables add explanatory power to outward foreign direct investment; competition policy and overall institutional reform play an important role in explaining outward foreign direct investment from Central and Eastern European economies
Dau & Cuervo-Cazurra (2014)	JBV	259 data points from 51 countries	2002–2009	Quantitative	Entrepreneurship	Heritage Foundation index of economic freedom	The positive impact of economic liberalization on formal and informal entrepreneurship
Banalieva (2014)	GSJ	211 firms from 14 transition economies	1991–2009	Quantitative	Firm performance	EBRD Transition Indicators dataset	Synchronized faster reforms have positive effects on firm performance
Majumdar & Bhattacharjee (2014)	OS	37,642 firm–year observations of Indian firms	1991–2006	Quantitative	Firm performance	Firm, industry and business group effects in different phases	Liberalization significantly affects and alters the relative importance of firm, industry and group effects
Manikandan & Ramachandran (2014)	SMJ	13,765 firm–year observations of Indian firms	1994–2010	Quantitative	Q ratio as a measure of growth opportunities	Chari & David (2012) index of pro-market reforms	Positive relationship between pro-market reforms and growth opportunities
Alimov (2015)	JIBS	53,583 M&A deals in 28 countries	1991–2009	Quantitative	Firm's profitability and valuation; the intensity of M&A flows	Employment protection legislation	Countries that tighten employment regulations attract more foreign acquirers especially those from countries with relatively more flexible labor regulations

Table 2 (Continued)

Study	Journal ^a	Sample	Period	Type	Dependent variable	Independent variable	Main findings
Banalieva et al., (2015)	SMJ	490 Chinese firms from 30 provinces	2004–2009	Quantitative	Firm performance	The speed of pro-market reforms	The speed of pro-market reforms reduces firm performance
Chari & Banalieva (2015)	JWB	18,591 Indian firms	1991–2007	Quantitative	Firm performance	Chari & David (2012) index of pro-market reforms	Curvilinear relationship between pro-market reforms and firm performance
Kafourous & Aliyev (2016)	JWB	230,000 firm–year observation from 16 Central and Eastern European countries	2003–2011	Quantitative	Firm performance	Institutional development and international openness	Institutional changes have a positive effect on the profitability of domestic firms, but a negative effect on the profitability of foreign firms
Popli et al. (2017)	GSJ	339 Indian firms	2001–2010	Quantitative	Firm performance	Fit between internationalization and reforms	The positive effect of internationalization on firm performance is contingent on whether or not firms synchronize their internationalization activities with the pro-market reforms
Shi et al. (2017)	JIBS	578,360 firm–year observations of Chinese firms	2000–2009	Quantitative	Outward foreign direct investment decision	Institutional fragility at the level of Chinese provinces	Institutional fragility at the provincial level is associated with an increased likelihood of a firm conducting outward foreign direct investment
Bucheli, Salvaj and Kim (2018)	GSJ	114, 66, 272, 474 business group affiliated firms in Chile	1970, 1988, 1999, 2010	Quantitative	Networks and survival rates	Institutional transitions	Business groups emerged to address market imperfections and sustained relationships after the liberalization of the economy, incorporating foreign multinationals in their networks
Banalieva, Cuervo-Cazurra & Sarathi (2018)	JIBS	1092 firms from 34 emerging markets	1998–2011	Quantitative	Firm performance	Pro-market reforms and reversals	Intensifying pro-market reforms and fading reversals improve firm performance, while fading reforms and intensifying reversals reduce performance

^a Abbreviations are explained in the text.

Many economics- and finance-focused articles rely on the deregulation of internal markets and trade liberalization as economics-based theoretical constructs, and build their studies on these without relying on mainstream business and management theories. Deregulation and trade liberalization was explicitly mentioned as the theoretical anchor in 18 studies. Another 18 articles used a multi-theoretic, eclectic framework. In most of these studies (71/100), there was an implicit assumption that pro-market reforms reduce transaction costs, even though transaction cost as a theoretical framework was listed in only one study.

Organizing the Literature

Building on the systematic and deep review of the selected articles, we organized the literature around four themes based on the relationships that the articles analyzed. Figure 1 illustrates these relationships. The first theme relates to an understanding of the concept of pro-market institutions, its directions (pro-market reforms and pro-market reversals), its multiple dimensions (industry, finance, labor, cross-border, tax), and its measurement (logic, indexes, and events). The second theme is about the drivers of pro-market institutions that lead countries to adopt the reforms, which include the ideologies regarding economic development, and the internal (refinement, replacement, and

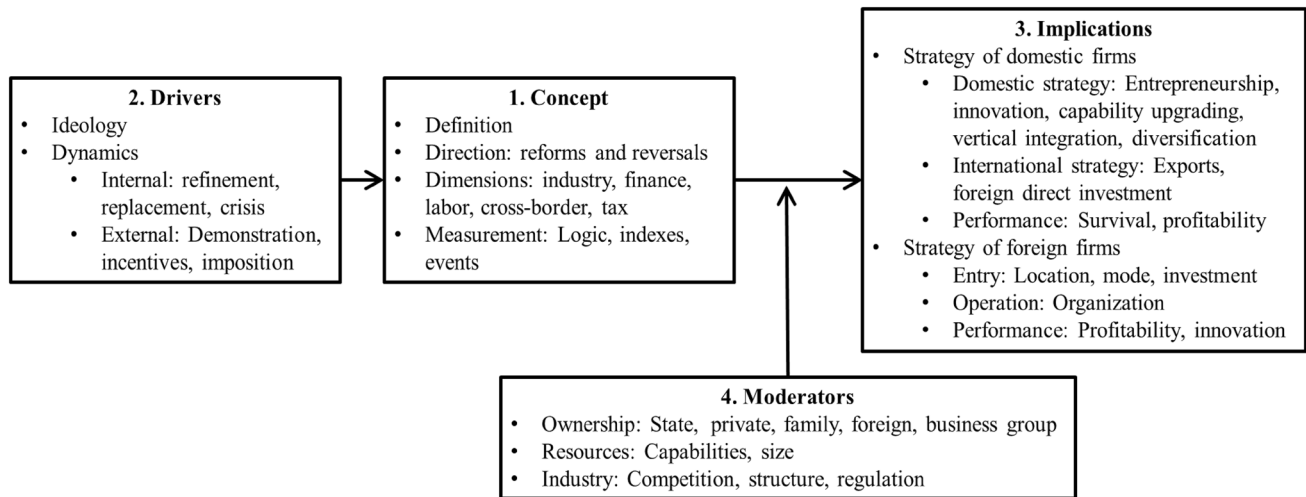


Figure 1 Organizing themes on pro-market institutions and global strategy.

crisis) and external (demonstration, incentives, and imposition) dynamics that lead to changes; we mentioned them in the historical overview. The third broad theme relates to the implications of pro-market reforms, which we separate into the strategy of domestic firms (domestic strategy, international strategy, and performance), and the strategy of foreign firms (entry, operation, and performance). Finally, the fourth theme is related to the moderators (ownership, resources, industry) that affect the influence of pro-market institutions on strategy.

Concept: Pro-market institutions, direction, dimensions, and measurement

The concept of pro-market institutions is not as clear as it appears to be because of the multiplicity of terms referring to the same concept. Moreover, some of these terms do not have an explicit directionality and thus create confusion. For example, in economics, it is prevalent to use the term structural reforms (Trebing, 1980), and, in management studies, it is common to use the term institutional reforms (Hoskisson, Eden, Lau, & Wright, 2000; Khanna & Palepu, 2000). However, to the casual reader, these terms do not indicate that the reforms are in the direction of supporting market relationships. Hence, we use the term pro-market institutions to denote institutions that are supportive of market relationships, because this clarifies the implicit functions of the institutions analyzed. The term reflects the level of market-

supporting institutions in the country, which differs from the changes that are happening to those institutions, i.e., reforms or reversals.

The direction of the change in pro-market institutions between pro-market reforms and pro-market reversals (i.e., increasing support for or control of market relationships, respectively) is an essential distinction for several reasons. First, most empirical studies tend to talk about pro-market reforms and rarely take into account in their analyses that countries experience reversals, despite their unusual effects. For example, Dastidar et al. (2008) showed that the expectation about a reversal in reform policies, as a result of the regime change from a market-oriented one to a socialist coalition in India in 2004, led to a significant drop in market capitalization of the state-owned companies that were expected to be privatized. Second, companies may react with very different strategies to both reforms and reversals, and as a consequence the mechanisms underlying their strategic responses will differ. For example, pro-market reforms may induce firms to internationalize more because they have both the freedom to invest abroad as well as the pressure to improve, enabling them to achieve levels of international competitiveness (Cuervo-Cazurra & Dau, 2009b). In contrast, pro-market reversals may limit the ability of companies to invest abroad because they are not pressured to be as competitive as before. In some cases, however, pro-market reversals may induce them to invest abroad more, in order to escape the problematic conditions of the home country (Cuervo-Cazurra & Ramamurti, 2017).

Pro-market institutions have multiple dimensions, given that the government can control market transactions in many areas. Typical dimensions include cross-border flows such as: international trade (Keane & Feinberg, 2006), international investment (Doh, Teegen, & Mudambi, 2004), and foreign exchange (Stoian, 2013); financial markets such as the banking sector (Bertrand, Schoar, & Thesmar, 2007); labor markets such as labor regulations (Alimov, 2015; Toulan, 2002); and industry issues such as industry regulations (Kretschmer, Miravete, & Pernias, 2012; Li, 1997), ownership of productive assets (Doh, 2000; Ramamurti, 2000), and price control (Buck, Filatotchev, Nolan, & Wright, 2000), etc.

This multiplicity of dimensions has been addressed in the literature in two ways: as a consolidated concept or as individual dimensions. On the one hand, some studies analyze pro-market institutions as one single concept and study how these affect firm behavior, commonly covering a multiplicity of industries. For example, Cuervo-Cazurra and Dau (2009b) studied the impact of pro-market reforms on exports among the largest Latin American firms. Likewise, Hermelo and Vassolo (2010) examined the impact of institutional development on firms' ability to sustain superior economic performance in 20 industries across seven Latin American countries. On the other hand, other studies focus on particular dimensions of pro-market institutions, commonly studying their impact on the behavior of firms in one industry. For example, Kretschmer et al. (2012) studied software adoption among automobile dealers in France after liberalization eliminated restraints on the adoption of new technologies. Shi et al. (2017) proposed the concept of institutional fragility, which they define as "a situation in which different institutional dimensions are not progressing at the same pace and thus creating internal friction and conflict during development." They argued that institutional fragility in China pushed firms to escape the home environment and invest abroad.

There are a variety of measurements of pro-market institutions readily available. Some have been developed by think tanks. The main ones coming from different think tanks include the Index of Economic Freedom created by the Heritage Foundation in the US (Heritage, 2017), the Economic Freedom of the World Index developed by the Fraser Institute in Canada (Fraser, 2017), and the Index of Global Competitiveness produced by the World Economic Forum in Switzerland (WEF,

2017). The first two are generated by analyzing quantitative data from national accounts and have an implicit ideology that less government intervention is better for economic growth. They contain a large number of components. In the Fraser Institute index, these are: the size of government, legal system and property rights, sound money, freedom to trade internationally, and regulation. In the Heritage Foundation index, these are: the rule of law (property rights, government integrity, judicial effectiveness), government size (government spending, tax burden, fiscal health), regulatory efficiency (business freedom, labor freedom, monetary freedom), and open markets (trade freedom, investment freedom, financial freedom). The third think-tank index, The Global Competitiveness Index of the World Economic Forum, in contrast, measures the institutions that support productivity. It is based on national accounts and surveys of executives and is composed of 12 components (pillars in their parlance) grouped into three categories: basic requirements (institutions, infrastructure, macroeconomic environment, health, and primary education), efficiency enhancers (higher education and training, goods market efficiency, labor market efficiency, financial market development, technological readiness, and market size), and innovation and sophistication factors (business sophistication and innovation).

Other measures of pro-market institutions have been created by international organizations. The most relevant ones are the Ease of Doing Business index by the International Monetary Fund and the World Bank (World Bank, 2017a) and the Governance Indicators of the World Bank (World Bank, 2017b). The Ease of Doing Business index is based on surveys of legal experts in the country and measures the regulatory requirements that companies have to follow to operate in a nation. It analyzes 11 indicators: regulation for starting a business, dealing with construction permits, getting electricity, registering property, getting credit, protecting minority investors, paying taxes, trading across borders, enforcing contracts, resolving insolvency, and labor market regulation. The Governance Indicators are based on findings from a variety of surveys and measure the perceptions of good governance in the country. This index covers six areas: voice and accountability, political stability and lack of violence, government effectiveness, regulatory quality, rule of law, and control of

corruption. Analyses of pro-market institutions usually use the last four areas, as the first two are related to the political system.

Despite the common aim of capturing the concept of pro-market institutions, the differences in objectives, dimensions, and measures among the indexes result in very different rankings of economies. Table 3 illustrates this by providing the top and bottom ranked countries in each of the indexes. There is a large variation in rankings, not only for countries at the lower levels of pro-market institutions but also for countries that occupy the top rankings. These differences suggest that generic use of different indexes to measure pro-market reforms may not be appropriate. Researchers need to match their research questions with specific indexes and even specific items within each index. For example, while the Doing Business index may be more appropriate for studies that examine strategic decisions such as mode of entry and operations in a foreign country, the World Bank governance indicators may be more appropriate to study the effect of home market institutions on the international expansion of local firms. Researchers can download different indices and measures from the globalEDGE Database of International Business Statistics (GlobalEDGE, 2018).

An alternative to using these indexes is to develop new ones. For example, Chari and David (2012) developed an index of pro-market reforms in India from multiple sources, while Popli, Akbar, Kumar, and Gaur (2017) proposed another one, building on Chari and David's index to examine outward foreign direct investment by Indian firms.

Finally, some large economies have indices of economic freedom at the subnational level that can be used to analyze within-country differences in pro-market institutions. For example, the National Economic Research Institute Index of China's Provinces measures the level of market development across the subnational units of China.

Drivers: Ideology and internal and external dynamics

The driver of pro-market institutions is, as we mentioned earlier, the ideology of policymakers and the society at large regarding the appropriate role of the government in economic transactions. The intellectual foundations for the debate on whether markets or governments are more adept at facilitating economic development are based on the writings of authors like John Maynard Keynes and Karl Marx proposing government, on the one hand, and on the ideas of Adam Smith, Friedrich

von Hayek, and Milton Friedman proposing market relations, on the other hand. Nowadays, the vast majority of countries have a diverse mix of government intervention and free market policies directing economic transactions. Nevertheless, there is still a continued tension on the appropriate level of government intervention and market operation of economies, which results in large variations in the level of pro-market institutions across countries, and in changes in the level across time within each country.

The dynamics of pro-market institutions can be separated into external and internal, as we mentioned before. External dynamics are driven by demonstration, incentives, and imposition. First, in demonstration, countries imitate the policies of other countries they consider successful in their development model. This was, for example, the driver of the transformation of Meiji Japan in the late nineteenth century when it opened, imitating and adapting what it considered to be the best practices from the US and Western European countries (Westney, 1986). In more recent years, the Singaporean model of the market economy and the Chinese model of economic reforms have provided new models of development to many countries. For example, Vietnam adopted the *doi moi* program of economic liberalization in 1986 partly in imitation of the reforms in China, while other emerging countries have imitated some of the active support of firms based on the Chinese model of state capitalism. Second, countries may select a particular model as a result of incentives provided by external organizations. This is commonly the outcome of support programs, like those initiated by the World Bank or the International Monetary Fund, that required countries to adopt pro-market reforms in exchange for financial support (Stiglitz, 2003). Third, external changes in the model of development can be the outcome of violent imposition by foreign organizations. This was the case for Eastern Europe, in which the Soviet Union imposed its communist economic doctrine after the conquest following the Second World War.

Internal dynamics are driven by refinement, replacement, and crisis. First, in refinement, successive governments introduce additional changes and reforms that build upon previous actions to improve the model and ensure the development of the country. For example, in India, the reforms initiated in 1991 by the less liberal Congress government were further pushed by a more liberal

Table 3 List of the highest and lowest countries by alternative measures of pro-market institutions. Source Created using data from Fraser Institute (2017), Heritage Foundation (2017), World Economic Forum (2017), World Bank (2017a, b)

Economic Freedom 2015 Index, Fraser Institute		Economic Freedom 2017 Index, Heritage Foundation		Global Competitiveness Index 2017, World Economic Forum		Doing business 2018 Index, World Bank/IMF		Worldwide Governance Indicators 2016 average estimate, World Bank	
Available every 5 years from 1970 to 2000 and annually since 2000. It has four main indicators: the rule of law (property rights, government integrity, judicial effectiveness), government size (government spending, tax burden, fiscal burden, fiscal health), regulatory efficiency (business freedom, labor freedom, monetary freedom), and open markets (trade freedom, investment freedom, financial freedom). Range: 0–10		Available annually since 1995. It is composed of the rule of law (property rights, government integrity, judicial effectiveness), government size (government spending, tax burden, fiscal health), regulatory efficiency (business freedom, labor freedom, monetary freedom), and open markets (trade freedom, investment freedom, financial freedom). Range: 0–100		Available annually since 2004. It is composed of three pillars: basic requirements (institutions, infrastructure, macroeconomic environment, health and primary education), efficiency enhancers (higher education and training, goods market efficiency, labor market efficiency, financial market development, technological readiness, market size) and innovation and sophistication factors. Range: 0–6		Available annually since 2004. It has 11 indicators: regulation for starting a business, dealing with construction permits, getting electricity, registering property, getting credit, protecting minority investors, paying taxes, trading across borders, enforcing contracts, resolving insolvency, and labor market regulation (not used to construct the index). Range: 0–100		Available every 2 years from 1996 to 2002 and annually since 2002. It has six dimensions: voice and accountability, political stability and absence of violence, government effectiveness, regulatory quality, the rule of law, and control of corruption. Range: – 2.5 to 2.5	
Country	Index	Country	Score	Country	Value	Country	Score	Country	Estimate
Highest ranked countries									
1 Hong Kong	8.97	1 Hong Kong	89.82	1 Switzerland	5.86	1 New Zealand	86.55	1 New Zealand	1.84
2 Singapore	8.81	2 Singapore	88.58	2 United States	5.85	2 Singapore	84.57	2 Switzerland	1.78
3 New Zealand	8.48	3 New Zealand	83.75	3 Singapore	5.71	3 Denmark	84.06	3 Norway	1.76
4 Switzerland	8.44	4 Switzerland	81.45	4 Netherlands	5.66	4 Korea, Rep.	83.92	4 Finland	1.74
5 Ireland	8.19	5 Australia	81.02	5 Germany	5.65	5 Hong Kong	83.44	5 Sweden	1.73
6 United Kingdom	8.05	6 Estonia	79.06	6 Hong Kong	5.53	6 United States	82.54	6 Luxembourg	1.67
7 Mauritius	8.04	7 Canada	78.51	7 Sweden	5.52	7 United Kingdom	82.22	7 Netherlands	1.67
8 Georgia	8.01	8 United Arab Emirates	76.89	8 United Kingdom	5.51	8 Norway	82.16	8 Canada	1.66
9 Australia	7.99	9 Ireland	76.74	9 Japan	5.49	9 Georgia	82.04	9 Denmark	1.65
10 Estonia	7.95	10 Chile	76.55	10 Finland	5.49	10 Sweden	81.27	10 Singapore	1.59
11 Canada	7.94	11 Taiwan	76.51	11 Norway	5.40	11 Macedonia	81.18	11 Liechtenstein	1.58
12 United States	7.94	12 United Kingdom	76.43	12 Denmark	5.39	12 Estonia	80.80	12 Australia	1.54
13 Lithuania	7.92	13 Georgia	75.99	13 New Zealand	5.37	13 Finland	80.37	13 Germany	1.51
14 Cyprus	7.79	14 Luxembourg	75.94	14 Canada	5.35	14 Australia	80.14	14 Iceland	1.48
15 Chile	7.77	15 Netherlands	75.80	15 Taiwan	5.33	15 Taiwan	80.07	15 United Kingdom	1.42
Lowest ranked countries									
145 Mauritania	5.56	166 Ukraine	48.09	130 Mali	3.33	176 Guinea-Bissau	41.45	197 Burundi	– 1.40

Table 3 (Continued)

Economic Freedom 2015 Index, Fraser Institute		Economic Freedom 2017 Index, Heritage Foundation		Global Competitiveness Index 2017, World Economic Forum		Doing business 2018 Index, World Bank/IMF		Worldwide Governance Indicators 2016 average estimate, World Bank	
Available every 5 years from 1970 to 2000 and annually since 2000. It has four main indicators: the rule of law (property rights, government integrity, judicial effectiveness), government size (government spending, tax burden, fiscal efficiency), regulatory burden, fiscal health), regulatory efficiency (business freedom, labor freedom, monetary freedom), and open markets (trade freedom, investment freedom, financial freedom). Range: 0–100		Available annually since 1995. It is composed of the rule of law (property rights, government integrity, judicial effectiveness), government size (government spending, tax burden, fiscal health), regulatory efficiency (business freedom, labor freedom, monetary freedom), and open markets (trade freedom, investment freedom, financial freedom). Range: 0–100		Available annually since 2004. It is composed of three pillars: basic requirements (institutions, infrastructure, macroeconomic environment, health and primary education), efficiency enhancers (higher education and training, goods market efficiency, labor market efficiency, financial market development, technological readiness, market size) and innovation and sophistication factors. Range: 0–6		Available annually since 2004. It has 11 indicators: regulation for starting a business, dealing with construction permits, getting electricity, registering property, getting credit, protecting minority investors, paying taxes, trading across borders, enforcing contracts, resolving insolvency, and labor market regulation (not used to construct the index). Range: 0–100		Available every 2 years from 1996 to 2002 and annually since 2002. It has six dimensions: voice and accountability, political stability and absence of violence, government effectiveness, regulatory quality, the rule of law, and control of corruption. Range: – 2.5 to 2.5	
Country	Index	Country	Score	Country	Value	Country	Score	Country	Estimate
146 Ethiopia	5.53	167 Suriname	48.03	131 Zimbabwe	3.32	177 Bangladesh	40.99	198 Turkmenistan	– 1.45
147 Congo, Dem. R.	5.45	168 Bolivia	47.70	132 Nigeria	3.30	178 Timor-Leste	40.62	199 Iraq	– 1.46
148 Angola	5.40	169 Guinea	47.58	133 Congo, Dem. Rep.	3.27	179 Congo, Rep.	39.57	200 Venezuela	– 1.50
149 Ukraine	5.38	170 Turkmenistan	47.37	134 Venezuela	3.23	180 Chad	38.30	201 Central African Rep.	– 1.53
150 Iran	5.31	171 Djibouti	46.69	135 Haiti	3.22	181 Haiti	38.24	202 Congo, Dem. Rep.	– 1.56
151 Myanmar	5.26	172 Algeria	46.53	136 Burundi	3.21	182 Congo, Dem. Rep.	37.65	203 Eritrea	– 1.58
152 Chad	5.26	173 Timor Leste	46.27	137 Sierra Leone	3.20	183 Afghanistan	36.19	204 Afghanistan	– 1.59
153 Syria	5.22	174 Equatorial Guinea	45.00	138 Lesotho	3.20	184 Central Afr. Rep.	34.86	205 Korea, Dem. Rep.	– 1.65
154 Libya	4.95	175 Zimbabwe	44.05	139 Malawi	3.11	185 Libya	33.21	206 Sudan	– 1.66
155 Argentina	4.88	176 Eritrea	42.23	140 Mauritania	3.09	186 Yemen, Rep.	33.00	207 Yemen, Rep.	– 1.84
156 Algeria	4.84	177 Republic Congo	40.03	141 Liberia	3.08	187 South Sudan	32.86	208 Libya	– 1.86
157 Congo, Rep.	4.81	178 Cuba	33.94	142 Chad	2.99	188 Venezuela	30.87	209 South Sudan	– 1.91
158 Central Afr. Rep.	4.62	179 Venezuela	26.96	143 Mozambique	2.89	189 Eritrea	22.87	210 Syrian Arab Rep.	– 1.99
159 Venezuela	2.92	180 North Korea	4.92	144 Yemen	2.87	190 Somalia	19.98	211 Somalia	– 2.11

and development-oriented BJP government when it came to power in 1998. Similarly, in the US, the increase in regulation and government control over the economy initiated under the Republican President Bush to tackle the Great Recession of 2008 were continued and refined by his Democrat successor President Obama to ensure that the financial system was strong and would not create systematic risks to the economy.

Second, the replacement of groups in power can result in a change in the model. A new government that reaches power brings in a different ideology regarding the appropriate model of development and implements it. For example, Chile implemented government controls of the economy in the early 1970s under the democratically-elected communist President Allende, who initiated a program of price controls, industry regulation, and nationalization. These were later reversed in the late 1970s under the dictatorship of General Pinochet after his 1973 coup, when the government privatized state-owned firms, liberalized prices, and reduced regulations. However, this replacement does not have to be part of a change of political systems, but instead can be a part of the democratic process in which a new party brings in a new economic program.

Third, a crisis may trigger a change in the development model as part of a search for a solution to the slump and because the previous model has shown its limitations in ensuring development. Once a particular set of institutions is in place, coalitions of interest groups that benefit from such institutions will block changes to them (Olson, 1993). The groups which are harmed by the institutions would not only have to get organized and push for change but also have to counter other groups that are currently benefiting and present to them an alternative set of benefits. As a result, the level of pro-market institutions in a country, whether low or high, tends to remain in place and is only subject to small changes over time to adapt to new demands and conditions. Only when the institutional framework is no longer valid to accommodate pressures from interest groups, or there is a large external event that triggers a crisis in the model, does the institutional model change.

Implications: Strategy of domestic and foreign firms

There is an essential and substantial literature that has analyzed the implications of pro-market institutions on economic development (see Acemoglu, Johnson, & Robinson, 2005; Edwards, 1993; Lora,

2001; Rodrik, 2006; Sachs et al., 1995; Stiglitz, 2003; Williamson, 1990), but we will not review it here because we are interested in analyzing the impact of pro-market reforms on firm strategy. We separate this analysis into two areas, the strategy of domestic firms and the strategy of foreign firms.

Regarding the strategy of domestic firms, we distinguish among the domestic strategy (vertical integration and diversification, and entrepreneurship and innovation), international strategy (international trade and foreign direct investment), and the performance implications of the strategies. First, in terms of domestic strategy, one research stream focuses on the impact of pro-market institutions on the vertical and horizontal scope of the firm. In the study of vertical integration, pro-market reforms lead to a reduction of integration because firms can subcontract activities and are forced to focus on their sources of advantage (Toulan, 2002). In the study of diversification, pro-market reforms lead to an initial increase in diversification as private investors are allowed entry into industries and acquire assets previously reserved for state-owned firms (Katz, 2004). Diversification later drops as competitive pressures induce diversified business groups to narrow down their scope of activities (Cuervo-Cazurra, 2018). This relationship is not consistent across different contexts, however (Lee & Gaur, 2013). In the case of India, for example, Singh, Pattnaik, Gaur, and Ketencioglu (2018) find a linear and positive relationship between reforms and corporate expansion through diversification, which is contingent on the extent of prior unrelated diversification and business group affiliation of a firm. Another subset of studies has analyzed the impact of pro-market reforms on entrepreneurship and innovation. For example, Manikandan and Ramachandran (2014) studied the growth opportunities offered by pro-market reforms in India; Eesley (2016) examined how the removal of institutional barriers encouraged entrepreneurship in China; Choi, Yoshikawa, Zahra, and Han (2014) analyzed the effect of reforms on the effectiveness of innovation initiatives in Korean firms; and Goldberg, Khandelwal, Pavcnik, and Topalova (2010) found that trade liberalization encouraged new product introductions by domestic firms and improved their overall performance. Finally, a few scholars have examined how pro-market reforms encourage and force firms to upgrade their technological capabilities (Bustos, 2011; Kumaraswamy et al., 2012; Singh & Gaur, 2013).

Second, in the international strategy of domestic firms, pro-market reforms induce firms to improve competitiveness to international levels, leading to the expansion of exports (Cuervo-Cazurra & Dau, 2009b; Ivus, 2015; Odlin, 2019) and of foreign direct investment (Cuervo-Cazurra, 2007, 2008; Fuad & Gaur, 2019; Gaur, Kumar, & Singh, 2014; Gaur et al., 2018). In the global strategy of international firms, most studies have focused on the strategic choice to enter the foreign markets as the moderator of the relationship between pro-market reforms and firm performance. For example, del Sol and Kogan (2007) explain how early experience with reforms at home enabled Chilean firms to perform better in their foreign operations in countries that experienced reforms later. Popli et al. (2017) argue that it is not just the degree of internationalization but the synchronization of internationalization with reforms that affects the relationship between pro-market reforms and firm performance. Other scholars have hinted that the benefits of reforms accrue through certain strategic choices such as entry into new industries, partnership with new investors, or identification and pursuit of new growth opportunities (Doh, 2000; Manikandan & Ramachandran, 2014; Ramamurti, 2000). In this line of thinking, the differences in institutions play more complex roles than traditionally assumed. For example, firms can use institutional arbitrage and learn from the experience with weaker institutions in their home country to become dominant players in host countries with similarly weak institutions (Cuervo-Cazurra & Genc, 2008). In some instances, institutional differences can have both a negative and a positive impact on different firm level outcomes such as foreign market entry strategies (Mingo, Junckuc, & Morales, 2018).

Third, we have a line of inquiry analyzing the impact of pro-market reforms on the performance of domestic firms. In this line of inquiry, one stream of research has studied the effect of pro-market reforms on firm performance, leading to a debate on whether reforms have a positive or a negative impact. For example, Cuervo-Cazurra & Dau (2009a) examine the 500 largest Latin American firms and find that reforms increase firm profitability by reducing agency costs. In contrast, Chari and David (2012) find that pro-market reforms reduced the profitability of firms in India. Other scholars report a curvilinear relationship between pro-market reforms and firm performance (Chari & Banalieva, 2015).

One way to contribute to clarity in this debate is to consider different aspects and stages of the reforms and examine the impact of these on strategic choices that firms make, which may ultimately impact firm performance. Thus, in the study of stages of reforms, it is plausible that reforms have a negative impact at the beginning and a positive one at a more advanced stage when the least productive firms have already disappeared. For example, Kumaraswamy et al. (2012) find that pro-market reforms resulted in the disappearance of companies in the automobile industry in India, and the surviving ones improved their capabilities to better compete in the changed environment. Majumdar and Bhattacharjee (2013) find that liberalization significantly affects the relative importance of firm, industry, and business group effects, with the firm effects becoming stronger in the post-liberalization stages. Bucheli, Salvaj, and Kim (2018), in a long-term analysis of business groups in Chile, propose that business groups adapted to pro-market reforms by maintaining the structures that supported their advantage during the period of high government intervention in the economy. Scholars have also examined different aspects of reforms such as reform scope and reform pace: Banalieva, Eddleston, and Zellweger (2015) find that while the scope of reforms enhances firm performance, the pace of reforms has a detrimental effect on firm performance; Popli et al. (2017) examined the entrainment of reforms with the international expansion of Indian firms and found that firms whose internationalization is entrained with the reform speed have superior performance; and Banalieva, Cuervo-Cazurra, and Sarathi (2018) analyzed the differential effect of the dynamics of pro-market institutions on performance, arguing that intensifying reforms and fading reversals improve firm performance, while fading reforms and intensifying reversals reduce performance.

Regarding the strategy of foreign firms in response to reforms, studies have analyzed the entry, operations, and performance implications. First, scholars have studied different strategic choices of foreign multinationals (e.g., location choice, entry mode, ownership levels, etc.) as they enter emerging markets with varying levels of pro-market institutions. For example, Contractor (1990) examines the liberalization of government policies about foreign ownership and its impact on the share of different ownership types in foreign subsidiaries. He finds a reduction in the percentage of minority and equal ownership joint ventures as

compared to majority and wholly-owned subsidiaries in countries that pursued more rigorous liberalization policies. Doh et al. (2004) examine the host country and industry-specific factors that affect the ownership decisions of foreign investors in telecommunication infrastructure projects. In a sample of 500 telecommunication projects in 100 countries, they find that the investment liberalization climate increases the likelihood of private ownership in both greenfield and joint venture projects. In a similar vein, Paul and Wooster (2008) find that US multinationals entered transition economies that undertook reforms sooner, and chose higher equity entry modes. These findings are consistent with the general trend that multinationals increase their level of commitment and involvement in economies that have progressed further on pro-market reforms than in those lagging behind.

Second, studies have analyzed the operation of foreign firms in response to reform. For example, de la Torre and Chacar (2012) argue that multinationals need to change their organizational structure at the subsidiary level to benefit from reforms. They find that multinationals that establish closer managerial coordination among subsidiaries experience superior performance in Latin American countries that underwent reforms in the 1990s.

Third, we have studies that examine firm performance for foreign multinationals that operate in economies undergoing reforms. For example, Wooster (2006) discusses the stock market reaction to M&A announcements in transition economies. He finds that value creation for acquiring firms' shareholders is higher for M&A in countries that are in the more advanced stages of market liberalization and structural reform. Branstetter, Fisman, and Foley (2006) examine technology transfer in US firms in response to intellectual property rights reforms in 16 host countries. They find that, during intellectual property rights reforms, there is an increase in the royalty payments to the parent firm for technology transfer to the foreign subsidiaries. There is also an increase in R&D spending and foreign patent filings at the subsidiary level. Feinberg and Keane (2006) examine the trade growth of US multinationals and find that reductions in tariffs explained most of the arms-length multinational-based trade.

Moderators: Ownership, capabilities, and industry

The impact of pro-market institutions on firm-level outcomes varies across firms. Our review suggests three sets of moderators: ownership, resources, and industry. The first moderator is the ownership of the firm. In this line of inquiry, authors have compared firms that are privately owned, state-owned, and foreign-owned. The critical argument is that particular owners react differently to reforms affecting the level of internationalization and performance of affiliated firms (Cuervo-Cazurra & Dau, 2009a, b; Mukherjee et al., 2018; Park, Li, & Tse, 2006; Ramamurti, 2000). A dominant focus in this stream has been on state-owned enterprises (SOEs) versus private enterprises, and domestic versus foreign firms. Scholars argue that, while SOEs and foreign firms may be able to buffer themselves from the negative effects of reforms, private firms may derive more benefits from the reform process. For example, Cuervo-Cazurra and Dau (2009a) find that, in Latin America, state-owned firms have the highest performance improvement with reforms, followed by private- and foreign-owned firms. Chari and Banalieva (2015) discover that the negative, as well as the positive, effects of reforms on firm performance in India are less steep for foreign firms and large firms than for smaller domestic firms. Kafouros and Aliyev (2016) show that institutional changes in Central and Eastern European countries have a positive effect on the profitability of domestic firms, but a negative effect on the profitability of foreign firms. SOEs, through their dominant presence, are even able to slow down the reform process and prevent entry by foreign-owned firms (Chari & Gupta, 2008). Other studies compare domestic firms that have family ownership or are part of business groups with those that are independent and analyze how family ownership and membership in a business group change the impact of pro-market reforms on internationalization (Gaur et al., 2014) and firm performance (Banalieva, Eddleston, & Zellweger, 2015; Chari & Banalieva, 2015). Employee stock ownership can also act as moderator of the impact of home institutions on internationalization, such as through offshoring (Weng & Peng, 2018). The logic behind the varying effect of different owner groups is that a particular owner provides the firm with capabilities and advantages that other owners do

not provide, or that some owners have certain objectives that limit their interest in certain strategies such as international expansion or technological innovation.

The second moderator is resources. The resources and capabilities that firms possess connect the transformation of pro-market institutions to the strategies of the firm. Changes in pro-market institutions result in firms being able to implement particular strategies depending on their capabilities and their ability to change those capabilities. Doh (2000) argued that privatization programs encourage early market entry by firms in general; however, firms with specialized resources and entrepreneurial orientation gain competitive advantages in the post-privatization phase. Chari and David (2012) argue that pro-market reforms make it difficult for firms to sustain superior profits, but this effect is weaker for firms that have market (technological and marketing capabilities) as well as non-market (affiliation to a business group) resources. Size is used as an overarching measure of the level of capabilities of firms (Ramamurti, 2000). Larger firms are better able to withstand the institutional changes as they have more resources and slack that enable them to invest in new ways of competing and help them take advantage of new opportunities in other industries and countries (Banalieva, 2014; Popli et al., 2017).

The third moderator is the industry in which a firm operates. In most studies with multi-industry samples, scholars control for industry effects, and examine other factors such as the level of concentration, competition, or unfavorableness of the industry in general (Chari & Gupta, 2008; Gaur et al., 2018; Khandelwal, Schott, & Wei, 2013). In the early theoretical work, scholars argued that the effect of pro-market reforms is contingent on firm- and industry-level factors (Doh, 2000; Peng & Heath, 1996; Ramamurti, 2000). For example, Peng and Heath (1996) argued that firms from planned economies pursue a network-based strategy of growth as their economies transition to a market-based structure. Doh (2000) argued that market structures such as monopoly situations and collusion amongst incumbents could affect the post-privatization competitiveness of firms. Ramamurti (2000) explained that industry factors such as competitive pressure, market structure, and potential for exploiting regulatory changes affect which state-owned enterprises are privatized, how they are privatized, and the performance consequences of privatization. Gaur et al. (2018) found that the level

of unfavorableness of the home industry positively impacts the likelihood of outward foreign direct investment by Chinese firms, though this effect is weaker than the effect of government supportiveness for outward foreign direct investment initiatives.

Single industry studies, in contrast, take into consideration the particularities of the industry and how such particularities change the way in which firms can react to pro-market reforms and reversals (Doh et al., 2004; Kretschmer, Miravete, & Pernias, 2012). Thus, firms in regulated industries may be limited in how they respond to pro-market institutions as they are constrained in their actions by regulations (Doh et al., 2004). Alternatively, firms in industries with many competitors may become highly competitive due to pressure from competition, limiting the impact of pro-market reforms on their need to upgrade capabilities or improve performance, while firms with few competitors may be under more pressure to upgrade capabilities after pro-market reforms and be less able to internationalize as a result.

CROSS-FERTILIZATION WITH OTHER DISCIPLINES: FINDING NEW INSIGHTS

We now establish some connections between studies in international business and other disciplines to outline some paths for cross-fertilization among disciplines. Each discipline reflects a particular focus of interest and preferences regarding questions to answer, relationships to study, and units of analysis.

Economics: Efficiency

The connections between studies in economics and international business on pro-market reforms are tight. The initial interest in the study of pro-market reforms started in economics, particularly with studies analyzing the deregulation of industries in the 1980s, such as utilities, telecom, or trucking industries (Rose, 1987; Trebing, 1980). Later, the focus shifted to the transition of communist and centrally planned economies into capitalistic ones in the late 1980s and early 1990s, with a particular emphasis on deregulation and reforms in China, India, and Latin American countries (Byrd, 1983; Li, 1997; Sachs et al., 1995). Many studies in economics focused on country-level factors, analyzing how the adoption of pro-market institutions, or the implementation of a capitalistic economic

system in transition economies, would result in higher economic growth (Sachs et al., 1995).

At the firm level, scholars focused on understanding how deregulation, for example, in industries such as utilities (Trebing, 1980), banking (Bertrand et al., 2007; Wolken, 1990), automotive (Kretschmer et al., 2012), telecommunications (Sato & Stevenson, 1989), or trucking (Rose, 1987) resulted in higher efficiency and lower costs for customers, or whether these changes also resulted in the consolidation of the industry into fewer players leading to higher prices for customers. Other studies at the firm level have analyzed how the full or partial privatization of state-owned companies have resulted in firms that are more efficient and profitable than before (Li, 1997; Fabrizio, Rose, & Wolfram, 2007). Studies in economics can provide international business analyses with a deep understanding of the mechanisms that connect the reform to firm performance through competition as part of the overarching logic of structure–conduct–performance from industrial organization (Tirole, 1988), i.e., that the competitive structure of the industry influences the conduct (strategy) of the firm and this, in turn, results in a particular level of performance.

International business studies can add to the economic approach with a better understanding of how the global strategy of firms changes after the transformation of their industry and country with pro-market reforms. Indeed, many studies in both international business and economics have shown that emerging economy firms upgrade their capabilities (Bustos, 2011; Cuervo-Cazurra, 2008), improve efficiency (Goldberg, et al., 2010; Li, 1997), and expand internationally in an aggressive manner (Cuervo-Cazurra, 2008; Cuervo-Cazurra & Dau, 2009b; Gaur & Delios, 2015) after their countries implement general as well as sector-specific pro-market reforms. These studies contribute to a better understanding of the conduct dimension by including economic efficiency and geographic expansion as part of firm conduct.

Additionally, studies in economics have tended to focus on the impact of pro-market reforms on domestic companies (Kretschmer et al., 2012; Khandelwal et al., 2013). Thus, international business studies can complement these by explaining how pro-market reforms in the host country may affect the behavior of foreign companies there. In this line, for example, del Sol and Kogan (2007) explain how the earlier experience of Chilean firms with pro-market reforms was useful in achieving

superior performance in other Latin American countries that adopted reforms later.

Political Economy: Coalitions and Interest Groups

Political economy studies can provide a basis for better understanding the drivers of pro-market reforms as well as how interest groups affect the dynamics of pro-market reforms and the subsequent strategies of firms. Political scientists are interested in the analysis of the interest groups and coalitions that influence the development and implementation of policies (Olson, 1965). International business studies of pro-market institutions tend to take institutions as given or exogenous to the firms, and then analyze how firms react to those institutional changes (Peng, 2003). However, from a political economy point of view, companies are not passive recipients of institutional changes, but instead can be active actors that aim to shape the reforms to their benefit. In line with this, Chari and Gupta (2008) find that certain types of domestic firms try to prevent the speed of market liberalization and prevent entry by foreign firms to maintain their market dominance. Likewise, Buck, Filatotchev, Nolan, and Wright (2000) show that the processes of economic reform in Russia and China are qualitatively different, partly due to the varying influence of economic entities in these countries.

Thus, political economy studies help provide a theoretical basis for understanding how managers can cooperate with other managers and try to influence the process of pro-market reforms. Political economy studies can also help analyze the opposition to reforms, or reversals, based on the interests of particular coalitions that benefit from the current status quo, even if the benefits to society of the changes appear to be much larger (Ecker-Ehrhardt, 2014; Mansfield & Mutz, 2009; Medrano & Braun, 2012).

At the same time, political economy studies of pro-market institutions can benefit from insights on the political behavior of foreign multinationals. Foreign multinationals can negotiate with host countries to provide them with attractive investment regimes and regulations (Murtha & Lenway, 1994; Stopford, Strange, & Henley, 1991). Part of the negotiation from the perspective of foreign multinationals can be the implementation of more pro-market reforms, especially in the areas of international trade and international investment as well as the protection of contracts and intellectual property rights in exchange for foreign investment. Thus, for example, the investment of Intel in

Costa Rica in the late 1990s was facilitated by investments by the government to make Costa Rica a more attractive destination (Spar, 1998). In the case of NAFTA, Javalgi, Deligonul, Ghosh, Lambert, and Cavusgil (2010) show that trade liberalization was associated with a more significant commitment to investing in Mexico as a gateway to other Latin American markets.

Sociology: Diffusion and Legitimacy

The analysis of pro-market reforms from a sociological point of view tends to focus on their diffusion across countries and the factors that facilitate such diffusion and legitimate adoption by the host country. In this domain, studies have analyzed the spread of pro-market reforms and argued that external drivers and internal pressures induced nations to adopt these reforms (Henisz, Zelner, & Guillen, 2005). Countries imitate the institutional infrastructure of other countries and adapt and innovate these institutions to the particular conditions of the nation (Westney, 1986). This diffusion is the result of isomorphic pressures driven by pressures from external entities like the International Monetary Fund and the World Bank, and by internal pressures from business associations and unions. This logic of analyzing the legitimacy of diffusion and adoption of reforms can and has been used in international business studies to better understand not only the implementation of reforms but also the support for such adoption by firms.

International business studies, for their part, can help sociological approaches to better understand the role that multinationals play in the diffusion of pro-market reforms across countries. Multinationals can influence host country governments to adopt pro-market reforms and provide legitimacy for the adoption of particular reforms by introducing external norms of behavior, such as the spread of quality standards (Guler, Guillen, & Macpherson, 2002). The diffusion of corporate governance-related regulations and practices around the world is one example of reforms being implemented by firms due to isomorphic institutional pressures (Aguilera & Crespí-Cladera, 2016; Singh & Gaur, 2009).

Law: Adoption of Foreign Regulations and Laws

Studies of law, especially international law, enable better understanding of how governments adopt legislation and regulations created elsewhere. This is particularly the case for emerging countries that

do not have the state capacity to design sophisticated new legislation. International organizations like the World Bank have had a significant role in helping emerging countries write legislation that codifies international practice. Some of this influence in law has resulted in the implementation of laws and regulations that promote pro-market institutions, as was the case with many of the Eastern European countries in their early stages of transition in the 1990s. Legal studies can help international business better understand how and which laws and regulations are being implemented in the country by different governments and how these can affect the behavior of firms there (Vaaler, 2008). They can also help understand the adoption of voluntary codes, such as codes of good governance (Aguilera & Cuervo-Cazurra, 2004, 2009), which complement the implementation of laws and regulations.

International business studies can, for their part, help legal studies understand the role that multinational companies and international organizations play in the adoption of new laws and regulations. In addition to international organizations, multinational companies have in some cases guided government officials in the drafting of legislation that is later implemented. This interaction between multinationals and law is currently being debated in the realm of preferential tax treatments that multinationals received, such as Apple in Ireland, or Fiji water in Fiji (Schwartz, 2010). Another example is the adoption of corporate governance codes by different countries. The governance codes in many emerging economies are based on the tenets of the Sarbanes–Oxley Act of the US, which was itself modeled on the tenets of the Cadbury committee report in the UK (Aguilera & Jackson, 2010).

Economic History: Know the Past

Economic history has shed light on the underlying ideology of governments implementing particular pro-market reforms or reversals. As the British economist John Maynard Keynes, wrote in 1936, “Practical men who believe themselves to be quite exempt from any intellectual influence, are usually the slaves of some defunct economist. Madmen in authority, who hear voices in the air, are distilling their frenzy from some academic scribbler of a few years back” (Keynes, 1936: 383). Historical studies of the movement between pro-market reforms and reversals provide deeper insights on the tension within countries and the reasons why some

governments adopt particular policies (Yergin & Stanislaw, 1998; Dastidar et al., 2008). Studies of economic history provide a long-term perspective that is missing in many international business studies (Jones & Khanna, 2006). Studies in the international business domain can benefit from this long-term approach to better understand the conditions under which companies are operating and how these conditions change over time in a longer time framework than the usual datasets used to analyze relationships. Thus, for example, economic history provides new insights into the foreign expansion of early multinationals that seem lost in the current international business literature (Jones, 1988; Jones & Bostock, 1994).

International business can provide a framework of analysis to economic history studies. Many studies of economic history tend to be descriptive rather than prescriptive, presenting the discovery of what companies did in the past as the contribution to our understanding (Carney, 2008; Colpan, Hikino, & Lincoln, 2010; Jones & Wale, 1998). International business studies can help ground historical insights into theory to provide recommendations for future studies and managers.

FUTURE STUDIES: SHEDDING LIGHT INTO THE BLACKBOX

The review of past literature on the relationship between pro-market reforms and firm international strategy serves as the basis for identifying several avenues that researchers can pursue to better understand the relationship between institutional contexts at home and abroad and the global strategy of firms. We organized them in the same framework we used for the literature review: concept, drivers, implications, and moderators. Table 4 summarizes suggestions for future studies that we discuss below.

Concept: Combinations of Dimensions, Intangible Measures, and Informal Institutions

We still do not understand well how the various dimensions of institutions interact with each other and the influence that such interactions have on firm behavior. Studies have acknowledged the existence of multiple dimensions of pro-market institutions, not only formal and informal (North, 1990), but types such as industry, capital, labor, cross-border relationships, and from a neo-institutional perspective the regulative, normative, and cognitive dimensions (Peng, 2003; Scott, 2001). Research on pro-market reforms, however, rarely

Table 4 Recommendations for future studies on pro-market institutions and firm internationalization

Area	Issue	Recommendation
Concept	Combination of dimensions	Analyze dimensions of institutions and how different dimensions on their own and in combination with others affect internationalization differently
	Intangible measures	Capture intentions in government actions and perceptions of future changes rather than the outcomes of actions
	Informal institutions	Analyze the influence of informal institutions and their change, and interaction with formal institutions on firms
Drivers	Firm influences on institutions	Study how firms influence the design of new pro-market institutions or prevent changes in pro-market institutions
	Co-evolution	Analyze the co-evolution of pro-market institutions and firm internationalization
Implications	Interactions among strategies	Study how integration, diversification, and internationalization interact in response to changes in pro-market institutions, either as complements and expanding jointly or as substitutes and one expanding at the expense of another
	Causality chains	Identify the causality chain between changes in pro-market institutions and firm outcomes, analyzing intermediate strategies and intermediate outcomes
	Reconfiguration of global activities	Analyze reconfiguration of operations in multiple locations in response to changes in pro-market institutions in one location
Moderators	Country-level influences	Study changes in other country-level characteristic and their interactions with pro-market institutions in affecting firms' international strategies
	Industry-level influences	Analyze specific industry-level changes in regulations and competitors' behaviors in shaping firm-level strategies
	Manager-level influences	Study managers and employees perception and understanding of changes in pro-market institutions and subsequent implementation of firm responses

considers how different aspects of reforms operate and interact. Some scholars have made an effort to understand the dynamics between different institutional dimensions (Shi et al., 2017), but there is scope to further examine pro-market reforms at a disaggregated level (Chacar, Newbury, & Vissa, 2010). Thus, for example, future studies can start analyzing the relative influence of different dimensions such as product market reforms, trade liberalization, and price liberalization on the pursuit of growth opportunities in international and domestic markets. Reform dimensions that are closer to cross-border transactions, such as the liberalization of international trade and investment or the deregulation of the industry, may have a more significant impact on internationalization in comparison to other dimensions, such as improvement in the rule of law or labor deregulation.

Second, scholars need to develop a closer match between the theoretical concepts and measures used. Many of the measures used in the literature seem to capture the outcome of government actions rather than the attitudes or actions taken by the government to improve pro-market institutions. However, the attitude towards reforms, actions in implementing reforms, and the outcomes themselves are not the same (Gaur et al., 2018), and there is room for better understanding the concept of pro-market institutions and its dynamics. It might be the case that even if a government engages in pro-market reforms, the actual outcomes of such actions may take some time to be realized. Alternatively, in some instances, governments may not have taken steps to improve pro-market institutions, and yet, the institutions might be perceived as being more supportive of market transactions. Managers may react to the perceptions of future reforms of reversals based on past actions (Banalieva et al., 2018).

An illustration of these differences between government actions and outcomes appears in Table 5, which presents the evolution of the quantitative Fraser Index of Economic Freedom, which is commonly used in many studies, and a description of a qualitative assessment of pro-market reform and reversals for the largest ten economies by population. The level and evolution of the indicator of economic freedom for these countries seem to be in line with the usual perceptions about the countries, increasing over time for most nations. However, the process of economic transformation is much more complicated, as the qualitative analysis reveals, with many different dimensions of the

economy evolving at different times, and with a combination of pro-market reforms in some areas and pro-market reversals in others.

Future studies can contribute to the topic by going deeper into the measurement of institutions. They can, for example, study government intentions and actions in the realm of pro-market institutions, the changes in pro-market institutions from the outcomes of such actions, and how these changes affect managerial perception about the institutional support from their home country. This is important because managers may be reacting and driving the strategies of firms based on their perceptions about the domestic institutional conditions rather than actual changes in the market supporting institutions (Gaur et al., 2018).

Third, we need to gain a better understanding of the role of informal pro-market institutions on firm strategy, and how these informal pro-market institutions evolve and interact with formal institutions. Most studies seem to equate pro-market institutions with government rules and regulations. However, economic transactions can also be facilitated by informal institutions that enable the transfer of information, the building of trust and the curtailing of misbehavior, such as *guanxi* in China, social norms in regional clusters in Italy, the Brazilian *jeitinho*, or the Indian *jugaad*. There seems to be an implicit conceptualization of informal institutions as substitutes for formal ones, i.e., informal institutions are strong when formal pro-market institutions are weak (Peng, 2003). However, there might be complementarity between formal and informal institutions (Helmke & Levitsky, 2004). Future studies can identify these and analyze the role they play in more detail, in combination with formal pro-market institutions, in the global strategy of firms in response to pro-market reforms or reversals.

Drivers: Firm Influences on Institutions, and Co-evolution of Institutions and Strategies

Most studies assume that firms are passive recipients of pro-market institutions and that the direction of causality is from changes in the institutional environment to changes in firm behavior and performance. However, institutions are not always exogenous, as firms and individuals may undertake specific actions to influence the way institutions evolve. Firms engage in non-market strategies (Baron, 1995) and corporate political strategies (Hillman & Hitt, 1999) with the aim of shaping not only how institutions are implemented but also

Table 5 Pro-market reforms and reversals and the index of economic freedom for the largest economies by population

Countries	Evolution of pro-market reforms and reversals	Evolution of the index of economic freedom									
		1970	1975	1980	1985	1990	1995	2000	2005	2010	2015
Bangladesh	1970 independence, 1982 trade liberalization and foreign investment promotion, export promotion, 1991 stabilization and adjustment program and structural reform, 1993 privatization board, 2009–2012 trade policy, 2012 convertibility and foreign investment liberalization but still state monopolies in infrastructure, 2012 competition law ineffective	n.a.	3.29	3.28	3.59	4.45	5.30	5.91	6.02	6.35	6.32
Brazil	1940s import substitution, 1991 stabilization and structural reforms in trade liberalization, deregulation and privatization, 1995 end of monopolies and discrimination of foreign investors, 1999 floating exchange rate, 2011 antitrust law, 2011 tax support for domestic firms, 2010 reserve of oil for local firms	5.28	4.19	3.92	2.96	4.23	4.66	5.98	6.18	6.46	5.75
China	1949 communism, 1978 start of pro-market reforms, liberalization of agriculture, entry of private and foreign investors, reform of mono-banking system, 1994 transition plan to market based economy with fiscal reforms, phase out of control over investments, development of financial and capital markets, 1995 company law and conversion of state-owned firms, 2001 trade liberalization after World Trade Organization membership, 2007 private property rights law, 2008 antimonopoly law, 2014 reduction foreign restrictions on industries, 2008 support state-owned firms, 2014 reduction foreign restrictions on industries but still exclusion	n.a.	n.a.	3.64	4.82	4.09	5.07	5.77	6.05	6.24	6.40
India	1947 independence and socialist planned economy, some liberalization in the 1980s, 1991 stabilization and reform program, 1992–1994 reduce discrimination of foreign firms, 1991–1995 trade liberalization and 1995 World Trade Organization, 1993 single exchange rate, 1991 liberalization of capital and money markets and 1994 interest rate reform, 2013 further liberalization of banking sector, 2014 increased deregulation, 1990s privatizations but limited reform of state-owned firms and still discrimination against foreign firms	5.08	4.27	5.02	4.72	4.79	5.76	6.22	6.71	6.39	6.63
Indonesia	1949 independence, 1966–1967 trade liberalization, mid-1980s deregulation, 1985–1990 trade and investment deregulation, 1994 liberalization of foreign investment regime, 1990s privatization program, 1997–1998 crisis, 1998 open banking to foreign investors, 2000 antimonopoly law, 2015 drop in oil subsidies, 2013–2015 protectionist measures	4.27	4.78	4.79	5.79	6.00	6.30	5.86	6.35	6.85	7.00

Table 5 (Continued)

Countries	Evolution of pro-market reforms and reversals	Evolution of the index of economic freedom									
		1970	1975	1980	1985	1990	1995	2000	2005	2010	2015
Mexico	1940s import substitution, 1982 deep crisis, 1987 stability and reform plan after deep crisis, price and trade liberalization, privatization, financial sector liberalization, deregulation, tax reform with exchange rate anchor, 1986 join General Agreement on Tariffs and Trade, 1990s large privatization, 1994 NAFTA open economy, 2008 final trade liberalization, 2014 liberalization oil and telecom industry, but 1994 crisis and nationalization of banks and subsequent privatization, still oligopolies and monopolies	6.78	5.73	5.19	4.67	6.26	6.46	6.60	6.83	6.74	6.95
Nigeria	1960 independence, 1983 liberalization to reduce imbalance but insufficient, 1986 structural adjustment program with exchange and trade reform, deregulation banking, liberalization of prices, uneven reforms in 1986–1993, exchange controls in 1994 and liberalization and stability program in 1995	4.28	3.85	3.44	4.18	3.50	3.81	5.17	5.95	6.112	6.38
Pakistan	1947 independence and economic planning, 1988 start of reforms, 1993 stabilization program, limited implementation of reforms in 1995, the start of privatization and deregulation, 2010 new competition law but still monopolies	4.45	3.51	4.25	4.83	4.81	5.55	5.55	6.09	6.17	5.93
Russia	1922 communist system, 1991–1993 major structural reforms, rapid privatization in 1992–1994 through vouchers but slowed as it shifted to cash sales and loans-for-shares, banking liberalization but crisis in 1995, 1992 securities market, 1991–1995 new legal framework with civil code of laws to support market economy, 1998 stabilization program after crisis, 2006 convertibility, bias for local firms and support of local monopolies in gas and transport, 2012 join World Trade Organization but temporary trade restrictions, 2008 support banking system, 2010s nationalization of private firms in strategic sectors	n.a.	n.a.	n.a.	n.a.,	n.a.	4.33	5.50	6.24	6.54	6.60
United States	1930s regulation under New Deal and 1940–1945 coordination to support the war effort, 1950–1960s infrastructure and defense programs, 1970s crisis, 1980s tax reform, 1970–1980s deregulation of transport, 1992 deregulation of energy, 1996 deregulation of telecom, 1980 and 1999 financial market reforms, 2009 partial nationalization of banks and firms	7.77	7.88	8.07	8.26	8.48	8.48	8.62	8.22	7.81	7.94

Data from Fraser Institute (various years) and economic history from BIT (2017), Sachs et al. (1995).

n.a. not available.

how they can be replaced with new ones. Many firms, especially large ones, actively manage institutional changes, lobbying the government to design laws and regulations to secure beneficial treatment. For example, large business groups in countries like India and Korea have played a vital role in pro-market reforms and reversals in these countries (Carney, 2008; Pattnaik, Lu, & Gaur, 2018), while large state-owned firms in China, which themselves represent the interests of the state, have had a central role in influencing state policies (Buck et al., 2000). However, at the same time, domestic firms with limited international competitiveness and operations may become the drivers behind pro-market reversals, because they are likely beneficiaries of government controls over foreign competitors (Dorobantu, Kaul, & Zelner, 2017). Thus, firms battle to obtain benefits under a new regulatory framework, or to not lose the benefits that the current regulatory framework provides, resulting in a complex dynamic in the way institutions are designed, implemented and modified. As emerging economies are becoming new battlegrounds for multinationals and domestic companies, it would be interesting for future studies to examine the competitive dynamics between multinationals and local rivals (Kumar, Gaur, Zhan, & Luo, 2018).

Firms becoming the drivers of pro-market reforms or reversals challenges our understanding of the impact of reforms on global strategy. Future studies can analyze this reverse causality in the relationship between pro-market institutions and global strategy to provide a better understanding of the mechanisms behind the changes. One way to resolve this dual influence between reforms and reversals is to consider the possibility of a co-evolution of pro-market reforms and international strategy (Cuervo-Cazurra, 2015) in which reforms support the internationalization of firms because they enable international firms to upgrade their competitiveness, and international companies, in turn, promote additional reforms through learning, spillovers, and lobbying. Future studies can analyze the mechanisms and processes by which foreign and domestic firms influence the transformation of pro-market institutions, including the creation of coalitions with other interest groups, the use of legal (and sometimes illegal) means to modify policies, and the interaction between competitive and institutional (i.e., market and non-market) strategies to alter institutions. This would help provide a better understanding of the dynamics of

pro-market institutions, both the reforms and reversals, as an outcome of the negotiated efforts among firms with competing interests; incumbents may be interested in blocking changes while new entrants may be pushing for the transformation of institutions. The access to and ability to influence politicians, who are in charge of the actual design of regulations and laws, by different types of companies can provide new insights on institutional dynamics that are rarely considered.

Implications: Interactions Among Strategies, Causality Chains, and Reconfiguration of Operations in Multiple Locations

The interaction among the strategies of domestic firms in response to reforms is an area that needs to be analyzed in more detail. Authors tend to take one dimension of strategy at a time; however, the vertical, horizontal, and geographic dimensions of the scope of a company are interrelated. For example, the expansion in the vertical scope may result in the internationalization of the firm at the same time, as the domestic company spreads its value chain across multiple countries. Or the diversification of the firm may lead to its internationalization as there may be a readily available market abroad in the new industry in which the firm diversifies in the home market. Thus, for example, firms belonging to business groups internationalize in countries in which other affiliated firms are already present (Guillen, 2000). Alternatively, firms may reduce one dimension of scope and expand another as they are unable to manage the increasing complexity effectively. This seemed to be the case of business groups in Spain, which, during the transformation of the country with pro-market reforms, reduced diversification while they increased internationalization (Cuervo-Cazurra, 2018). Likewise, Kumar, Gaur, and Pattnaik (2012) find a negative relationship between product diversification and international diversification of Indian business groups. Future studies can follow this line of thinking and analyze interactions between strategies and how pro-market institutions affect these interactions.

Another area that needs further attention is the chain of causality between changes in pro-market institutions, strategies in response to these, and the ultimate performance of domestic firms. Many studies focus either on one strategy or on firm performance as the outcome variable. However, the impact of reforms on firm performance is likely to be dependent on specific intermediate actions that

firms adopt in response to the reforms. In this regard, some studies have focused on strategic choices of technology upgrading (Bustos, 2011), exports (Cuervo-Cazurra & Dau (2009b), and other measures of international expansion (Gaur et al., 2014, 2018). Many other strategic choices are likely to be impacted by pro-market reforms. For instance, in addition to market entry decisions, reforms also likely impact market exit decisions. Likewise, pro-market reforms may change the resource configurations of firms, which may alter the international expansion strategies such as the timing, mode, and location of foreign market entry. In the past, many emerging economy firms coming from countries with weak domestic institutions focused on other similar emerging economies (Cuervo-Cazurra & Genc, 2008) and chose to operate with low involvement modes such as exports (Gaur & Kumar, 2010). This has changed in recent years as emerging economy firms are expanding to developed country markets through more aggressive modes of international expansion such as acquisitions (Luo & Tung, 2007, 2017). Future studies could integrate the literature on pro-market institutions with the springboard model of international expansion (Luo & Tung, 2007) to study these new phenomena of practical importance (Buckley, Doh, & Benischke, 2017).

The analysis of the impact of changes in pro-market institutions on the strategy of foreign multinationals can be deepened by studying the reconfiguration of interactions among operations in multiple locations in response to changes in institutions in one place. The focus in much of the extant literature is on the choice of location and mode of entry into a foreign market after pro-market reforms. However, these studies often consider different strategic choices and host countries in isolation (Contractor, 1990; Doh, Teegen, & Mudambi, 2004; Paul & Wooster, 2008), without giving due consideration to the overall strategy of the firm in the changing new host country or in other locations in which they operate. For example, studies on entry mode decisions often link multinational characteristics with the host country characteristics to suggest the optimum entry mode into a particular country. However, entry mode decisions are often made along with the location choice decisions, which are influenced by the level of pro-market reforms, not only in the host market but also in other potential host nations. Future

studies could analyze the changes in the pro-market reforms in one country within the broad changes in other countries, and to see how multinationals make different strategic choices and reorganize their operations as a result of the differential changes in reforms across economies. Such a study would involve the use of advanced analytics that take into account the simultaneity of different strategic choices and the mutual interdependence of reforms in different host countries.

Moderators: Country Interactions, Industry Responses, and Managerial Understanding

Finally, we need to better understand the mechanisms by which changes in pro-market institutions affect the international strategy of firms. The relationship between pro-market reforms and firm performance is quite challenging, as evident in conflicting findings (Chari & David, 2012; Chari & Banalieva, 2015). Most studies provide explanations of the connection between changes in pro-market institutions and firm strategy, but they do not measure the actual mechanisms that establish these connections. Pro-market reforms likely alter the resource configurations and the sources of competitive advantage for many firms that relied on inefficient institutions as a source of protection. However, we do not yet know how such changes occur. More work is needed to understand the mechanisms by which firms and subsidiaries of multinationals change in response to reforms and the alternative theories that underlie each of the mechanisms of change. Such an analysis may benefit by taking a micro-foundation approach to study the behavior of multinationals and local firms in emerging economies (Nuruzzaman, Gaur, & Sambharya, 2017; Felin, Foss, & Ployhart, 2015). Using alternative theoretical approaches to understand the mechanism of change helps not only to make better predictions about the impact of pro-market reforms but also to extend existing theories of the multinational by bringing in the influence of the home country environment into the behavior and functioning of multinationals.

There are a variety of moderators that can be included in the analyses by examining the multiple levels at which pro-market reforms operate. First, reforms essentially happen at the country level and are likely impacted by other country-level characteristics such as the political system (democratic versus other forms of government), national

culture, and the presence of other types of institutions that may support or hinder the progress of reforms. For instance, membership in the World Trade Organization and regional trade treaties has forced countries to make many regulatory changes that facilitated pro-market reforms.

Second, reforms are also industry-specific and alter the market structure and basis of competition in one industry differently than in another. In this regard, industry characteristics, before and after reform, are not only the outcomes of reforms but also condition the relationship between reforms and firm-level outcomes. Future studies could analyze the reactions of competitors to institutional changes, and how these reactions, in turn, affect firm behavior. In economic studies, the interaction between industry structure and firm behavior is well established, and this can be used to better understand how they condition the impact of pro-market institutions on firm strategies.

Finally, research on pro-market reforms has mostly neglected the role of individual actors, which include firms or managers, depending on the level of analysis (see Eesley, 2016; Keister, 2004, for exceptions), who are likely to be the ones reacting to reforms. The institutional works logic suggests that individuals and organizations may shape the way different institutions evolve (Lawrence & Suddaby, 2006). The role of organizational actors may be particularly salient in the case of pro-market reforms, given the socio-political processes that are behind any kind of reforms and reversals. Managers and employees may perceive and understanding changes in pro-market institutions in particular ways that have a large influence on the responses implemented in the firms. In some cases, when the reforms may not suit the organizational actors, concerted efforts may be made to reverse the process. Future studies need to take into account the interaction between organizational actors and the external institutions, and how these interactions affect firm strategies and performances.

CONCLUSIONS: SHEDDING LIGHT ON OTHER RELATIONSHIPS

In this article we have critically reviewed existing literature on pro-market institutions to guide future research, providing details on how to conduct studies on this topic. Our review also helps in abstracting from the particularities of the topic and

explaining how to advance our theoretical understanding of the multinational by connecting international business to other fields to facilitate cross-fertilization. The identification of areas that need further examination can help provide a better understanding of the relationship between pro-market institutions and the international strategy of firms.

The study of changes in the institutional environment in which firms operate, of which pro-market reforms is an illustration, adds to our understanding of the influence of conditions in the home country on the international strategy of companies. Focusing on the characteristics of the home country and their effect on international strategy is a recent line of thinking (e.g., Cuervo-Cazurra & Genc, 2008; Gaur et al., 2018; Garcia-Canal & Guillen, 2008; Holburn & Zelner, 2010; Wang & Luo, 2012; see a review in Cuervo-Cazurra, Luo, Ramamurti, & Ang, 2018). This complements previous international business literature that has tended to concentrate on analyzing the impact of the host country environment on internationalization decisions (Henisz, 2000; Delios, Gaur, & Makino, 2008). At the same time, much work is needed to better reflect the reality of multiple institutional contexts in which multinationals are embedded by simultaneously considering the home and the host market contexts. We highlighted the importance for international business studies of not only analyzing the strategies of multinationals in response to changes in the host country conditions as most studies have traditionally done but also of studying the strategies of domestic companies in response to changes in the conditions of the home country.

Existing models of the multinational usually take as given the conditions of host countries, paying less attention to how changes in institutions via pro-market reforms or reversals affect a firm's international behavior. We augment and extend these models of multinationals by highlighting how the home country conditions help explain the behavior of multinationals. Our approach complements existing studies that have analyzed, for example, how the underdevelopment of the home country has resulted in new and different patterns of internationalization among emerging market multinationals (see reviews in Cuervo-Cazurra & Ramamurti, 2014), or how changes in the behavior of the state regarding its state-owned firms have

resulted in different patterns of internationalization of state-owned multinationals (Cuervo-Cazurra & Ramamurti, 2014). We hope that our review encourages other scholars to take a critical view of home market environments and to go deeper into the mechanisms that connect country characteristics to industry structure and firm global strategy, and, ultimately, to firm performance.

REFERENCES

- Acemoglu, D., Johnson, S., & Robinson, J. A. 2005. The rise of Europe: Atlantic trade, institutional change and economic growth. *American Economic Review*, 95(3): 546–579.
- Aguilera, R. V., & Crespi-Cladera, R. 2016. Global corporate governance: On the relevance of firms' ownership structure. *Journal of World Business*, 51(1): 50–57.
- Aguilera, R. V., & Cuervo-Cazurra, A. 2004. Codes of good governance worldwide: What is the trigger? *Organization Studies*, 25(3): 415–443.
- Aguilera, R. V., & Cuervo-Cazurra, A. 2009. Codes of good governance. *Corporate Governance: An International Review*, 17(3): 376–387.
- Aguilera, R. V., & Jackson, G. 2010. Comparative and international corporate governance. *Academy of Management Annals*, 4(1): 485–556.
- Alimov, A. 2015. Labor market regulations and cross-border mergers and acquisitions. *Journal of International Business Studies*, 46(8): 984–1009.
- Banalieva, E. R. 2014. Embracing the second best? Synchronization of reform speeds, excess high discretion slack, and performance of transition economy firms. *Global Strategy Journal*, 4(2): 104–126.
- Banalieva, E. R., Cuervo-Cazurra, A., & Sarathy, R. 2018. Dynamics of pro-market institutions and firm performance. *Journal of International Business Studies*, 49(7): 858–880.
- Banalieva, E. R., Eddleston, K. A., & Zellweger, T. M. 2015. When do family firms have an advantage in transition economies? Toward a dynamic institution-based view. *Strategic Management Journal*, 36(9): 1358–1377.
- Baron, D. P. 1995. Integrated strategy: Market and nonmarket components. *California Management Review*, 37(2): 47–65.
- Bertrand, M., Schoar, A., & Thesmar, D. 2007. Banking deregulation and industry structure: Evidence from the French banking reforms of 1985. *Journal of Finance*, 62(2): 597–628.
- BIT. 2017. Transformation Index BTI 2016. <http://www.bti-project.org/en/reports/>. Accessed Sept 13, 2017.
- Branstetter, L. G., Fisman, R., & Foley, C. F. 2006. Do stronger intellectual property rights increase international technology transfer? Empirical evidence from US firm-level panel data. *Quarterly Journal of Economics*, 121(1): 321–349.
- Bruton, H. J. 1998. A reconsideration of import substitution. *Journal of Economic Literature*, 36: 903–936.
- Bucheli, M., Salvaj, E., & Kim, M. 2018. Better together: How multinationals come together with business groups in times of economic and political transitions. *Global Strategy Journal*. <https://doi.org/10.1002/gsj.1326>.
- Buck, T., Filatotchev, I., Nolan, P., & Wright, M. 2000. Different paths to economic reform in Russia and China: Causes and consequences. *Journal of World Business*, 35(4): 379–400.
- Buckley, P. J., Doh, J. P., & Benischke, M. H. 2017. Towards a renaissance in international business research? Big questions, grand challenges, and the future of IB scholarship. *Journal of International Business Studies*, 48(9): 1045–1064.
- Bustos, P. 2011. Trade liberalization, exports, and technology upgrading: Evidence on the impact of MERCOSUR on Argentinian firms. *American Economic Review*, 101(1): 304–340.
- Byrd, W. 1983. Enterprise-level reforms in Chinese state-owned industry. *American Economic Review*, 73(2): 329–332.
- Carney, M. 2008. *Asian business groups: Context, governance and performance*. New York, NY: Elsevier.
- Chacar, A. S., Newbury, W., & Vissa, B. 2010. Bringing institutions into performance persistence research: Exploring the impact of product, financial, and labor market institutions. *Journal of International Business Studies*, 41(7): 1119–1140.
- Chari, M. D., & Banalieva, E. R. 2015. How do pro-market reforms impact firm profitability? The case of India under reform. *Journal of World Business*, 50(2): 357–367.
- Chari, M. D., & David, P. 2012. Sustaining superior performance in an emerging economy: An empirical test in the Indian context. *Strategic Management Journal*, 33: 217–229.
- Chari, A., & Gupta, N. 2008. Incumbents and protectionism: The political economy of foreign entry liberalization. *Journal of Financial Economics*, 88(3): 633–656.
- Choi, Y. R., Yoshikawa, T., Zahra, S. A., & Han, B. H. 2014. Market-oriented institutional change and R&D investments: Do business groups enhance advantage? *Journal of World Business*, 49(4): 466–475.
- Colpan, A., Hikino, T., & Lincoln, J. (Eds.). 2010. *The Oxford handbook of business groups*. Oxford: Oxford University Press.
- Contractor, F. J. 1990. Ownership patterns of US joint ventures abroad and the liberalization of foreign government regulations in the 1980s: Evidence from the benchmark surveys. *Journal of International Business Studies*, 21(1): 55–73.
- Cuervo-Cazurra, A. 2007. Sequence of value-added activities in the multinationalization of developing country firms. *Journal of International Management*, 13(3): 258–277.
- Cuervo-Cazurra, A. 2008. The multinationalization of developing country MNEs: The case of multinationals. *Journal of International Management*, 14(2): 138–154.
- Cuervo-Cazurra, A. 2015. The co-evolution of pro-market reforms and emerging market multinationals. In L. Tihanyi, E. Banalieva, T. M. Devinney, & T. Pedersen (Eds.) *Advances in international management 28: Emerging economies and multinational enterprises*. New York: Emerald.
- Cuervo-Cazurra, A. 2018. Business groups in Spain: Regulation and ideology drivers. In A. M. Colpan, & T. Hikino (Eds.) *Business groups in the west: The evolutionary dynamics of big business*. Oxford: Oxford University Press.
- Cuervo-Cazurra, A., & Dau, L. A. 2009a. Pro-market reforms and firm profitability in developing countries. *Academy of Management Journal*, 52: 1348–1368.
- Cuervo-Cazurra, A., & Dau, L. A. 2009b. Structural reform and firm exports. *Management International Review*, 49(4): 479–507.
- Cuervo-Cazurra, A., & Genc, M. 2008. Transforming disadvantages into advantages: Developing country MNEs in the least developed countries. *Journal of International Business Studies*, 39(6): 957–979.

ACKNOWLEDGEMENTS

We thank the detailed guidance from Editor Yadong Luo and the useful suggestions for improvement from three anonymous reviewers. We also appreciate the comments received at the Academy of Management and the Strategic Management Society Conferences. Cuervo-Cazurra thanks the Robert Mullin Fellowship for financial support.

- Cuervo-Cazurra, A., Luo, Y., Ramamurti, R., & Ang, S. H. 2018. The impact of the home country on internationalization. *Journal of World Business*, 53: 593–604.
- Cuervo-Cazurra, A., & Ramamurti, R. 2014. *Understanding multinationals from emerging markets*. Cambridge: Cambridge University Press.
- Cuervo-Cazurra, A., & Ramamurti, R. 2017. Home country underdevelopment and internationalization: Innovation-based and escape-based internationalization. *Competitiveness Review*, 27(3): 217–230.
- Dastidar, S. G., Fisman, R., & Khanna, T. 2008. Testing limits to policy reversal: Evidence from Indian privatizations. *Journal of Financial Economics*, 89(3): 513–526.
- Dau, L. A., & Cuervo-Cazurra, A. 2014. To formalize or not to formalize: Entrepreneurship and pro-market institutions. *Journal of Business Venturing*, 29(5): 668–686.
- de La Torre, J. R., & Chacar, A. 2012. Network coordination and performance among MNEs in Latin America. *Global Strategy Journal*, 2(1): 3–25.
- del Sol, P., & Kogan, J. 2007. Regional competitive advantage based on pioneering economic reforms: The case of Chilean FDI. *Journal of International Business Studies*, 38: 901–927.
- Delios, A. Gaur, A. S., & Makino, S. 2008. The timing of international expansion: Information, rivalry, and imitation among Japanese firms, 1980–2002. *Journal of Management Studies*, 45: 169–195.
- DiMaggio, P. J., & Powell, W. W. (Eds.) 1991. *The new institutionalism in organizational analysis*. Chicago: University of Chicago Press.
- Djankov, S., La Porta, R., Lopez-de-Silanes, F., & Shleifer, A. 2002. The regulation of entry. *Quarterly Journal of Economics*, 117: 1–37.
- Doh, J. P. 2000. Entrepreneurial privatization strategies: Order of entry and local partner collaboration as sources of competitive advantage. *Academy of Management Review*, 25(3): 551–571.
- Doh, J. P., Teegen, H., & Mudambi, R. 2004. Balancing private and state ownership in emerging markets' telecommunications infrastructure: country, industry, and firm influences. *Journal of International Business Studies*, 35(3): 233–250.
- Dorobantu, S., Kaul, A., & Zelner, B. 2017. Nonmarket strategy research through the lens of new institutional economics: An integrative review and future directions. *Strategic Management Journal*, 38(1): 114–140.
- Duriau, V. J., Rege, R. K., & Pfarrer, M. D. 2007. A content analysis of the content analysis literature in organization studies: Research themes, data sources, and methodological refinements. *Organizational Research Methods*, 10(1): 5–34.
- Ecker-Ehrhardt, M. 2014. Why parties politicize international institutions: On globalization backlash and authority contestation. *Review of International Political Economy*, 21(6): 1275–1312.
- Edwards, S. 1993. Openness, trade liberalization, and growth in developing countries. *Journal of Economic Literature*, 31(3): 1358–1393.
- Eesley, C. 2016. Institutional barriers to growth: Entrepreneurship, human capital and institutional change. *Organization Science*, 27(5): 1290–1306.
- Fabrizio, K. R., Rose, N. L., & Wolfram, C. D. 2007. Do markets reduce costs? Assessing the impact of regulatory restructuring on US electric generation efficiency. *American Economic Review*, 97(4): 1250–1277.
- Feinberg, S. E., & Keane, M. P. 2006. Accounting for the growth of MNC-based trade using a structural model of US MNCs. *American Economic Review*, 96(5): 1515–1558.
- Felin, T., Foss, N. J., & Ployhart, R. E. 2015. The microfoundations movement in strategy and organization theory. *Academy of Management Annals*, 9: 575–632.
- Fisman, R. 2001. Estimating the value of political connections. *American Economic Review*, 91(4): 1095–1102.
- Fraga, E. 2004. Latin America since the 1990s: Rising from the sickbed? *Journal of Economic Perspectives*, 18: 89–106.
- Fraser Institute. 2017. Economic freedom. <https://www.fraserinstitute.org/economic-freedom/dataset?min-year=2&max-year=0&page=dataset&filter=0&most-free=1&quartile2=1&quartile3=1&least-free=1&year=2015>. Accessed Sept 13, 2017.
- Friedman, M. 1962. *Capitalism and freedom*. Chicago: University of Chicago Press.
- Fuad, M., & Gaur, A. S. 2019. Merger waves, entry-timing, and cross-border acquisition completion: A frictional lens perspective. *Journal of World Business*. <https://doi.org/10.1016/j.jwb.2018.12.001>.
- García-Canal, E., & Guillén, M. F. 2008. Risk and the strategy of foreign location choice in regulated industries. *Strategic Management Journal*, 29(10): 097–1115.
- Gaur, A. S., & Delios, A. 2015. International diversification of emerging market firms: The role of ownership structure and group affiliation. *Management International Review*, 55: 235–253.
- Gaur, A. S., & Kumar, V. 2010. Internationalization of emerging market firms: A case for theoretical extension. In T. M. Devinney, T. Pedersen, & L. Tihanyi (Eds.) *Advances in international management – The past, present and future of international business and management* (Vol. 23). New York, NY: Emerald.
- Gaur, A. S., & Kumar, M. 2018. A systematic approach to conducting review studies: An assessment of content analysis in 25 years of IB research. *Journal of World Business*. <https://doi.org/10.1016/j.jwb.2017.11.003>.
- Gaur, A. S., Kumar, V., & Singh, D. A. 2014. Resources, institutions and internationalization process of emerging economy firms. *Journal of World Business*, 49: 12–20.
- Gaur, A. S., Ma, X., & Ding, Z. 2018. Home country supportiveness/unfavorableness and outward foreign direct investment from China. *Journal of International Business Studies*, 49(3): 324–345.
- Ghemawat, P., & Khanna, T. 1998. The nature of diversified business groups: A research design and two case studies. *Journal of Industrial Economics*, 46(1): 35–61.
- GlobalEDGE. 2018. globalEDGE database of international business statistics. <https://globaledege.msu.edu/tools-and-data/dibs>. Accessed Sept 13, 2018.
- Goldberg, P. K., Khandelwal, A. K., Pavcnik, N., & Topalova, P. 2010. Imported intermediate inputs and domestic product growth: Evidence from India. *Quarterly Journal of Economics*, 125(4): 1727–1767.
- Goodstein, J., & Boeker, W. 1991. Turbulence at the top: A new perspective on governance structure changes and strategic change. *Academy of Management Journal*, 34(2): 306–330.
- Guillen, M. F. 2000. Business groups in emerging economies: A resource-based view. *Academy of Management Journal*, 43(3): 362–380.
- Guler, I., Guillén, M. F., & Macpherson, J. M. 2002. Global competition, institutions, and the diffusion of organizational practices: The international spread of ISO 9000 quality certificates. *Administrative Science Quarterly*, 47(2): 207–232.
- Helmke, G., & Levitsky, S. 2004. Informal institutions and comparative politics: A research agenda. *Perspectives on Politics*, 2(4): 725–740.
- Henisz, W. J. 2000. The institutional environment for economic growth. *Economics & Politics*, 12(1): 1–31.
- Henisz, W. J., Zelner, B. A., & Guillen, M. F. 2005. The worldwide diffusion of market-oriented infrastructure reform, 1977–1999. *American Sociological Review*, 70(6): 871–897.
- Heritage Foundation. 2017. 2017 Index of Economic Freedom. <http://www.heritage.org/index/download>. Accessed Sept 13, 2017.
- Hermelo, F. D., & Vassolo, R. 2010. Institutional development and hyper-competition in emerging economies. *Strategic Management Journal*, 31(special issue): 1457–1473.
- Hillman, A. J., & Hitt, M. A. 1999. Corporate political strategy formulation: A model of approach, participation, and strategy decisions. *Academy of Management Review*, 24(4): 825–842.

- Holburn, G. L., & Zelner, B. A. 2010. Political capabilities, policy risk, and international investment strategy: Evidence from the global electric power generation industry. *Strategic Management Journal*, 31(12): 1290–1315.
- Hoskisson, R. E., Eden, L., Lau, C.-M., & Wright, M. 2000. Strategy in emerging economies. *Academy of Management Journal*, 43: 249–267.
- Ivus, O. 2015. Does stronger patent protection increase export variety? Evidence from US product-level data. *Journal of International Business Studies*, 46(6): 724–731.
- Javalgi, R. R. G., Deligonul, S., Ghosh, A. K., Lambert, D. M., & Cavusgil, S. T. 2010. Foreign market entry mode behavior as a gateway to further entries: The NAFTA experience. *International Business Review*, 19(3): 209–222.
- Jones, G. 1988. Foreign multinational investment in Britain before 1945. *Economic History Review*, 41: 429–453.
- Jones, G., & Bostock, F. 1994. Foreign multinationals in British manufacturing, 1850–1962. *Business History*, 36(1): 89–126.
- Jones, G., & Khanna, T. 2006. Bringing history (back) into international business. *Journal of International Business Studies*, 37(4): 453–468.
- Jones, G., & Wale, J. 1998. Merchants as business groups: British trading companies in Asia before 1945. *Business History Review*, 72(3): 367–408.
- Kafourous, M., & Aliyev, M. 2016. Institutional development and firm profitability in transition economies. *Journal of World Business*, 51(3): 369–378.
- Kasper, W. 2002. *Economic freedom and development: An essay about property rights, competition, and prosperity*. New Delhi: Centre for Civil Society.
- Katz, J. 2004. Market-oriented reforms, globalization and the recent transformation of Latin American innovation systems. *Oxford Development Studies*, 32: 375–387.
- Keane, M. P., & Feinberg, S. E. 2006. Accounting for the growth of MNC-based trade using a structural model of US MNCs. *American Economic Review*, 96(5): 1515–1558.
- Keister, L. A. 2004. Capital structure in transition: the transformation of financial strategies in China's emerging economy. *Organization Science*, 15(2): 145–158.
- Keynes, J. M. 1936. *The general theory of employment, interest and money*. London: Macmillan.
- Khandelwal, A. K., Schott, P. K., & Wei, S. J. 2013. Trade liberalization and embedded institutional reform: Evidence from Chinese exporters. *American Economic Review*, 103(6): 2169–2195.
- Khanna, T., & Palepu, K. 2000. Is group affiliation profitable in emerging markets? An analysis of diversified Indian business groups. *Journal of Finance*, 55(2): 867–891.
- Khanna, T., & Palepu, K. 2010. *Winning in emerging markets: A road map for strategy and execution*. Boston, MA: Harvard Business School Press.
- Kouamé, W. A., & Tapsoba, S. J. A. 2019. Structural reforms and firms' productivity: Evidence from developing countries. *World Development*, 113: 157–171.
- Kretschmer, T., Miravete, E. J., & Pernias, J. C. 2012. Competitive pressure and the adoption of complementary innovations. *American Economic Review*, 102(4): 1540–1570.
- Kumar, V., Gaur, A. S., & Pattnaik, C. 2012. Product diversification and international expansion of business groups: Evidence from India. *Management International Review*, 52(2): 175–192.
- Kumar, V., Gaur, A. S., Zhan, W., Luo, Yadong. 2018. Co-evolution of MNCs and local competitors in emerging markets. *International Business Review*. <https://doi.org/10.1016/j.ibusrev.2018.08.002>.
- Kumaraswamy, A., Mudambi, R., Saranga, H., & Tripathy, A. 2012. Catch-up strategies in the Indian auto components industry: Domestic firms' responses to market liberalization. *Journal of International Business Studies*, 43(4): 368–395.
- La Porta, R., Lopez-de-Silanes, F., Shleifer, A., & Vishny, R. W. 1998. Law and finance. *Journal of Political Economy*, 106(6): 1113–1155.
- Lawrence, T. B., & Suddaby, R. 2006. Institutions and institutional work. In S. R. Clegg, C. Hardy, T. B. Lawrence, & W. R. Nord (Eds.) *Sage handbook of organization studies* (2nd ed: 215–254). London: Sage.
- Lee, J. H., & Gaur, A. S. 2013. Managing multi-business firms: A comparison between Korean chaebols and diversified US firms. *Journal of World Business*, 48(4): 443–454.
- Li, W. 1997. The impact of economic reform on the performance of Chinese state enterprises, 1980–1989. *Journal of Political Economy*, 105(5): 1080–1106.
- Lora, E. 2001. *Structural reforms in Latin America: What has been reformed and how to measure it*. Working paper no. 466. Washington, DC: Inter-American Development Bank.
- Luo, Y., Huang, Y., & Wang, S. L. 2012. Guanxi and organizational performance: A meta-analysis. *Management and Organization Review*, 8(1): 139–172.
- Luo, Y., & Tung, R. 2007. International expansion of emerging market enterprises: A springboard perspective. *Journal of International Business Studies*, 38(4): 481–498.
- Luo, Y., & Tung, R. 2017. A general theory of springboard MNEs. *Journal of International Business Studies*. <https://doi.org/10.1057/s41267-017-0114-8>.
- Luo, Y., & Zhang, H. 2016. Emerging market MNEs: Qualitative review and theoretical directions. *Journal of International Management*, 22: 333–350.
- Majumdar, S. K., & Bhattacharjee, A. 2013. Firms, markets, and the state: Institutional change and manufacturing sector profitability variances in India. *Organization Science*, 25(2): 509–528.
- Manikandan, K. S., & Ramachandran, J. 2014. Beyond institutional voids: Business groups, incomplete markets, and organizational form. *Strategic Management Journal*, 36(4): 598–617.
- Mansfield, E. D., & Mutz, D. C. 2009. Support for free trade: Self-interest, sociotropic politics, and out-group anxiety. *International Organization*, 63(3): 425–457.
- Martin, X. 2014. Institutional advantage. *Global Strategy Journal*, 4(1): 55–69.
- Medrano, J. D., & Braun, M. 2012. Uninformed citizens and support for free trade. *Review of International Political Economy*, 19(3): 448–476.
- Mingo, S., Junkunc, M., & Morales, F. 2018. The interplay between home and host country institutions in an emerging market context: Private equity in Latin America. *Journal of World Business*, 53(5): 653–667.
- Mukherjee, D., Makarius, E. E., & Stevens, C. 2018. Business group reputation and affiliates' internationalization strategies. *Journal of World Business*, 53(2): 93–103.
- Murtha, T. P., & Lenway, S. A. 1994. Country capabilities and the strategic state: How national political institutions affect multinational corporations' strategies. *Strategic Management Journal*, 15(52): 113–129.
- North, D. 1990. *Institutions, institutional change, and economic performance*. Cambridge: Cambridge University Press.
- Nuruzzaman, N., Gaur, A. S., & Sambharya, R. 2017. A micro-foundations approach to studying innovation in multinational subsidiaries. *Global Strategy Journal*. <https://doi.org/10.1002/gsj.1202>.
- Odlin, D. 2019. Domestic competitor influence on internationalizing SMEs as an industry evolves. *Journal of World Business*. <https://doi.org/10.1016/j.jwb.2018.12.003>.
- Oliver, C. 1997. Sustainable competitive advantage: Combining institutional and resource-based views. *Strategic Management Journal*, 18: 697–713.
- Olson, M. 1965. *The logic of collective action: Public goods and the theory of groups*. Harvard: Harvard University Press.
- Olson, M. 1993. Dictatorship, democracy, and development. *American Political Science Review*, 87(3): 567–576.

- Park, S. H., Li, S., & Tse, D. K. 2006. Market liberalization and firm performance during China's economic transition. *Journal of International Business Studies*, 37: 127–147.
- Pattnaik, C., Lu, Q., & Gaur, A. S. 2018. Group affiliation and entry barriers: The dark side of business groups in emerging markets. *Journal of Business Ethics*. <https://doi.org/10.1007/s10551-018-3914-2>.
- Paul, D. L., & Wooster, R. B. 2008. Strategic investments by US firms in transition economies. *Journal of International Business Studies*, 39(2): 249–266.
- Peng, M. W. 2003. Institutional transitions and strategic choices. *Academy of Management Review*, 28: 275–296.
- Peng, M. W., & Heath, P. S. 1996. The growth of the firm in planned economies in transition: Institutions, organizations, and strategic choice. *Academy of Management Review*, 21(2): 492–528.
- Popli, M., Akbar, M., Kumar, V., & Gaur, A. S. 2017. Performance effect of internationalization and entrainment with pro-market reforms. *Global Strategy Journal*, 7(4): 354–374.
- Porter, M. E. 2011. *Competitive advantage of nations: Creating and sustaining superior performance*. New York: Simon and Schuster.
- Prebisch, R. 1950. *The economic development of Latin America and its principal problems*. New York: United Nations.
- Rajagopalan, N., & Spreitzer, G. M. 1997. Toward a theory of strategic change: A multi-lens perspective and integrative framework. *Academy of Management Review*, 22(1): 48–79.
- Ramamurti, R. 2000. A multilevel model of privatization in emerging economies. *Academy of Management Review*, 25(3): 525–550.
- Ramo, J. C. 2004. *The Beijing consensus*. London: Foreign Policy Centre.
- Rodrik, D. 2006. Goodbye Washington consensus, hello Washington confusion? A review of the World Bank's economic growth in the 1990s: Learning from a decade of reform. *Journal of Economic Literature*, 44: 973–987.
- Rose, N. L. 1987. Labor rent sharing and regulation: Evidence from the trucking industry. *Journal of Political Economy*, 95(6): 1146–1178.
- Sachs, J. D., Warner, A., Aslund, A., & Fischer, S. 1995. Economic reforms and the process of global integration. *Brookings Papers on Economic Activity*, 1995(1): 1–118.
- Sato, H., & Stevenson, R. 1989. Telecommunications in Japan: After privatization and liberalization. *Columbia Journal of World Business*, 24(1): 31–41.
- Schwartz, A. 2010. Fiji water playing chicken with Fiji. Fast Company, November 29. <https://www.fastcompany.com/1706114/fiji-water-playing-chicken-fiji-updated>. Accessed April 18, 2008.
- Scott, R. W. 2001. *Institutions and organizations* (3rd ed.). Thousand Oaks, CA: Sage.
- Shi, W. S., Sun, S. L., Yan, D., & Zhu, Z. 2017. Institutional fragility and outward foreign direct investment from China. *Journal of International Business Studies*, 48(4): 452–476.
- Singh, D. A., & Gaur, A. S. 2009. Business group affiliation, firm governance and firm performance: Evidence from China and India. *Corporate Governance: An International Review*, 17(4): 411–425.
- Singh, D., & Gaur, A. S. 2013. Governance Structure, innovation and internationalization: Evidence from India. *Journal of International Management*, 19(3): 300–309.
- Singh, D., Pattnaik, C., Gaur, A. S., & Ketencioglu, E. 2018. Corporate expansion during pro-market reforms in emerging markets: The contingent value of group affiliation and unrelated diversification. *Journal of Business Research*, 82: 220–229.
- Smith, K. G., & Grimm, C. M. 1987. Environmental variation, strategic change and firm performance – a study of railroad deregulation. *Strategic Management Journal*, 8(4): 363–376.
- Spar, D. L. 1998. *Attracting high technology investment: Intel's costa rican plant*. Washington, DC: World Bank Publications.
- Spicer, A., McDermott, G. A., & Kogut, B. 2000. Entrepreneurship and privatization in Central Europe: The tenuous balance between destruction and creation. *Academy of Management Review*, 25(3): 630–649.
- Stiglitz, J. E. 2003. *Globalization and its discontents*. New York: Norton.
- Stoian, C. 2013. Extending Dunning's investment development path: The role of home country institutional determinants in explaining outward foreign direct investment. *International Business Review*, 22(3): 615–637.
- Stopford, J. M., Strange, S., & Henley, J. S. 1991. *Rival states, rival firms: Competition for world market shares*. Cambridge: Cambridge University Press.
- Tirole, J. 1988. *The theory of industrial organization*. Cambridge: MIT Press.
- Toulan, O. N. 2002. The impact of market liberalization on vertical scope: The case of Argentina. *Strategic Management Journal*, 23(6): 551–560.
- Trebing, H. M. 1980. Structural change and regulatory reform in the utilities industries. *American Economic Review*, 70(2): 388–392.
- Tuselmann, H., Sinkovics, R. R., & Pishchulov, G. 2016. Revisiting the standing of international business journals in the competitive landscape. *Journal of World Business*, 51(4): 487–498.
- UNCTAD. 2017. UCTADStat. <http://unctadstat.unctad.org/wds/ReportFolders/reportFolders.aspx>. Accessed Sept 13, 2017.
- Vaaler, P. M. 2008. How do MNCs vote in developing country elections? *Academy of Management Journal*, 51(1): 21–43.
- von Hayek, F. 1944. *The road to serfdom*. Chicago: University of Chicago Press.
- Wang, S., & Luo, Y. 2012. Foreign direct investment strategies by developing country multinationals: A diagnostic model for home country effects. *Global Strategy Journal*, 2(3): 244–261.
- Weng, D., & Peng, M. 2018. Home bitter home: How labor protection influences firm offshoring. *Journal of World Business*, 53(5): 632–640.
- Westney, D. E. 1986. *Imitation and innovation*. Boston: Harvard University Press.
- Williamson, J. 1990. *Latin American adjustment: How much has happened?* Washington, DC: Institute for International Economics.
- Williamson, O. E. 2000. The new institutional economics: Taking stock, looking ahead. *Journal of Economic Literature*, 38(3): 595–613.
- Williamson, J. 2012. Is the “Beijing Consensus” now dominant? *Asia Policy*, 13(1): 1–16.
- Wolken, L. C. 1990. The restructuring of China's banking system under the economic reforms 1979–1989. *Columbia Journal of World Business*, 25(1–2): 53–64.
- Wooster, R. B. 2006. US companies in transition economies: wealth effects from expansion between 1987 and 1999. *Journal of International Business Studies*, 37(2): 179–195.
- World Bank. 2017a. World governance indicators. <http://info.worldbank.org/governance/wgi/index.aspx#home>. Accessed Sept 13, 2017.
- World Bank. 2017b. Doing business data. <http://www.doingbusiness.org/data>. Accessed Sept 13, 2017.
- World Economic Forum. 2017. The Global Competitiveness Report 2017–2018. <https://www.weforum.org/reports/the-global-competitiveness-report-2017-2018>. Accessed Sept 13, 2017.
- Yergin, D., & Stanislaw, J. 1998. *The commanding heights*. New York: Touchstone.
- Yunus, M. 2007. *Banker to the poor*. Public Affairs.
- Zajac, E. J., Kraatz, M. S., & Bresser, R. K. F. 2000. Modeling the dynamics of strategic fit: A normative approach to strategic change. *Strategic Management Journal*, 21: 429–453.

Zajac, E. J., & Shortell, S. M. 1989. Changing generic strategies – likelihood, direction, and performance implications. *Strategic Management Journal*, 10(5): 413–430.

ABOUT THE AUTHORS

Alvaro Cuervo-Cazurra is a Professor of International Business and Strategy at Northeastern University. He studies the internationalization of firms, particularly emerging market multinationals, capability upgrading, focusing on technological capabilities, and governance issues, especially corruption in international business. He is a Fellow of the Academy of International Business and co-editor of *Global Strategy Journal*. He received a Ph.D. from the Massachusetts Institute of Technology, and an Honorary Doctorate from Copenhagen Business School.

Ajai Gaur is an Associate Professor of Strategic Management and International Business at Rutgers Business School. He has a Ph.D. from the National University of Singapore. Ajai studies the distinct institutional influences on firms' international expansion strategies in different institutional contexts. A related focus of his research is to study institutional influences on various firm-level governance mechanisms and their strategic and performance consequences. He is serving as the President of the Asia Academy of Management and the Editor-in-Chief of the *Journal of World Business*.

Deeksha Singh is an Assistant Professor of Strategy and International Business at School of Business, Rutgers Camden. She obtained her Ph.D. from the National University of Singapore. Her research focuses on international expansion and governance of emerging economy firms.

Publisher's Note Springer Nature remains neutral with regard to jurisdictional claims in published maps and institutional affiliations.

Supplementary information accompanies this article on the *Journal of International Business Studies* website (www.palgrave.com/journals).

Accepted by Yadong Luo, Senior Editor, 4 January 2019. This article has been with the authors for two revisions.